

**Waterloo Community School District
Waterloo, Iowa**

**Annual Comprehensive
Financial Report**

For the Fiscal Year Ended June 30, 2023

**Waterloo Community School District
Waterloo, Iowa**

**Annual Comprehensive
Financial Report**

For the Fiscal Year Ended June 30, 2023

**Submitted By: Financial Services
Jeff Sommerfeldt, Business Manager**

Waterloo Community School District

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November 22, 2023

To the Board of Education and Citizens Waterloo Community School District

State law requires that all general-purpose local governments publish a complete set of financial statements presented in conformity with accounting principles and auditing standards generally accepted within the United States of America. Pursuant to that requirement, we hereby formally issue and transmit the annual comprehensive financial report (ACFR) for Waterloo Community School District for the fiscal year ended June 30, 2023.

This report consists of management's representations concerning the finances of Waterloo Community School District. Consequently, management assumes full responsibility for the completeness and reliability of all the information presented in this report. To provide a reasonable basis for making these representations, management of Waterloo Community School District has established a comprehensive internal control framework that is designed both to protect the District's assets from loss, theft or misuse and to compile sufficient reliable information for the preparation of Waterloo Community School District's financial statements in conformity with accounting principles generally accepted in the United States of America (GAAP). Because the cost of internal controls should not outweigh their benefits, Waterloo Community School District's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. As management, we assert that, to the best of our knowledge and belief, this financial report is complete and reliable in all material respects.

BerganKDV, Ltd., a firm of licensed certified public accountants, has audited Waterloo Community School District's financial statements. The goal of the independent audit was to provide reasonable assurance that the financial statements of Waterloo Community School District for the fiscal year ended June 30, 2023, are free of material misstatement. The independent audit involved examining on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that Waterloo Community School District's financial statements for the fiscal year ended June 30, 2023, are fairly presented in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report.

The independent audit of the financial statements of Waterloo Community School District was part of a broader, federally mandated "Single Audit" designed to meet the special needs of federal grantor agencies. The standards governing Single Audit engagements require the independent auditor to report not only on the fair presentation of the financial statements, but also on the audited government's internal controls and compliance with legal requirements involving the administration of federal awards. These reports are available in Waterloo Community School District's separately issued compliance report.

GAAP requires that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion' and Analysis (MD&A). This letter of transmittal is designed to complement MD&A and should be read in conjunction with it. Waterloo Community School District's MD&A can be found immediately following the report of the independent auditors.

Profile of Waterloo Community School District

Waterloo Community School District is governed by a seven-member elected Board of Education who serve four- year terms. The Board of Education is a policy-making and planning body whose decisions are carried out by school administrators. Waterloo Community School District is the eighth largest of Iowa's public schools. The enrollment is 10,672 students. Enrollment is expected to maintain for the 2023-2024 school year based on the stability of instruction format that is recovering from necessary Covid 19 procedures. Waterloo Community School District operates a total of two regular high schools, one alternative high school, one Career Technical Education Center, four middle schools, eleven elementary schools and various preschool locations. School buildings range in age from over 90 years old to a few years old. All facilities are in excellent condition as a rigorous maintenance schedule is followed. Waterloo Community School District provides a full range of educational services appropriate to students in early childhood and grades kindergarten through twelve. These services include regular and enriched academic education, special education for children with special needs, career technical education center and numerous individualized programs such as specialized instruction for at-risk students, for limited-English-speaking students and the International Baccalaureate program.

This report includes all funds of Waterloo Community School District. The District has no material component units and is not a component of another entity. The District provides a full range of services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra-curricular, co-curricular athletic and community education.

Waterloo Community School District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund are included in the annual appropriated budget. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level. During the year ended June 30, 2023, Waterloo Community School District did not exceed the amount budgeted in the function areas of Instruction, Support Services, Noninstructional Programs and Other Expenditure and did not exceed its general fund unspent authorized budget.

Annually, Waterloo Community School District's Board of Education adopts a budget and approves the appropriations for the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund in accordance with provisions outlined in the Statutes of the State of Iowa. The budgets are prepared on a modified accrual basis. During the fiscal year, monthly financial reports are prepared comparing the budget to actual receipts and disbursements of the various funds.

Relevant financial policies

Waterloo Community School District operates under the laws as defined in the *Code of Iowa* and policies as determined by the local Board of Education. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenue and expenditures by function and object. The District additionally tracks revenue by source of funds and expenditures by location, curricular program, and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

Waterloo Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board-approved allowable investments which include certificates of deposit, money markets, pooled investment trusts and obligations of the United States Treasury or its agencies. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Pandemic Federal Funding

In fiscal year 2021-22, the district experienced unprecedented federal financial support to recover from the effects of the Covid 19 pandemic. Funding to cover health and safety needs, technology needs, and student instructional support was enacted by congress. Waterloo qualified to receive over \$51 million by June 2024. This funding has enabled the district to initiate and continue necessary efforts to address student achievement needs, technology upgrades, staff retention efforts and student and staff health and safety with facility sanitation practices.

Local economy and economic outlook

The economic condition and outlook of Waterloo Community School District have improved in recent years, following many years of declining enrollment and slow economic growth. Waterloo Community School District's total taxable property valuation declined during the 1980's to \$1,520,527,165 in 1989-90. Since then, the total taxable property valuation has risen to \$2,765,393,920 in 2022-2023. However, the taxable valuation has been impacted by state mandated rollback in taxable valuation. The taxable valuation is currently 54.6501% of the assessed valuation for property. Commercial property is taxed at 90% of the total valuation. The valuation of commercial property is approximately 30% of district property.

Long-term financial planning

Waterloo Community School District is located in Black Hawk County. There is a statewide pool, with participating counties contributing tax revenue and then receiving back an allocation based on student enrollment. This funding is now known as secure an advanced vision for education (SAVE). All ninety-nine counties in Iowa currently have the one-cent local option tax for school districts. The Iowa legislature has enacted the program as permanent throughout the state, rather than individually by county. Community input as well as professional analysis has been taken into consideration for the overall plan of construction and remodeling. Retail sales have remained relatively stable during the uncertainty of the pandemic and hopes are that as the pandemic issues are addressed, they are projected to continue in favorable status. A recent analysis of retail sales that provide SAVE funding for capital projects, saw an increase of 13.8% over the 2021-2022 school year.

Major initiatives

On June 30, 2015, voters of the District approved the continuation of the property, plant, and equipment property tax levy (PPEL) for another ten years through fiscal year 2027. The levy passed with 81% approval.

For the 2015-2016 school year, Waterloo West and East High Schools were initially approved and continue as International Baccalaureate (IB) Schools. IB Schools have access to high-quality programs of education, which support development of knowledgeable and inquiring students, professional development that supports effective educators and collaborative professional learning communities and a worldwide network of highly respected 18 Schools working together to share best practice.

It is the District's quest to provide the best education for their students and ensure each child has a promising and fulfilling future. The District is seeking an expanded opportunity for their high schools by enhancing offerings in the area of career and technical education and by reengaging students at higher levels while setting them on a course to be better prepared for life after high school. The District is achieving this by implementing the following initiatives:

The District has implemented 18 career and technical education programs in phases over the past several years and has remodeled and expanded the Central Middle School facility to house these career and technical education programs.

Awards and acknowledgements

Waterloo Community School District received the Certificate of Excellence in Financial Reporting from the Association of School Business Officials (ASBO) for the twenty-sixth consecutive year for the fiscal year ended June 30, 2022. Upon recommendation of the Association's Panel of Review, which has judged that the report substantially conforms to principles and standards of ASBO's Certificate of Excellence Program, we are submitting this report to ASBO to determine its eligibility for another certificate.

The Government Finance Officers Association of the United States and Canada (GFOA) presented the Award of Financial Reporting Achievement to Waterloo Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2022. This was the twenty-sixth consecutive year the District has achieved this prestigious award. In order to be awarded a certificate of achievement, a government must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

The certificate of achievement is valid for a period of one year only. We believe our current comprehensive annual financial report continues to meet the GFOA's Achievement Program requirements, and we are submitting it to the GFOA to determine its eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the Financial Services staff of Waterloo Community School District. We would like to express our appreciation to all who assisted and contributed to this report with a special thanks to Nancy Schulzetenberg, CPA of BerganKDV, Ltd and the audit team. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Jeff Sommerfeldt
Business Manager

**Waterloo Community School District
Certificate of Achievement for Excellence in Financial Reporting**



Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**Waterloo Community School District
Iowa**

For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

June 30, 2022

Christopher P. Morill

Executive Director/CEO

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**Waterloo Community School District
Award of Financial Reporting Achievement**



**The Certificate of Excellence in Financial Reporting
is presented to**

Waterloo Community School District

**for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2022.**

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, appearing to read 'John W. Hutchison'.

**John W. Hutchison
President**

A handwritten signature in black ink, appearing to read 'Siobhán McMahon'.

**Siobhán McMahon, CAE
Chief Operations Officer/
Interim Executive Director**

**Waterloo Community School District
District Administration
June 30, 2023**

Dr. Jared Smith	Superintendent of Schools
Dr. Stephanie Mohorne	Associate Superintendent for Educational Services
Anthony Spurgetis	Chief Officer of Human Resources and Equity
Michael Coughlin	Chief Financial Officer/Treasurer
Jeff Frost	Executive Director of Professional Education
Sheena Canady	Director of Student Services
Matt O'Brien	Director of Technology
Dan Huff	Director of Athletics and Activities
Jen Hartman	Director of Elementary Education
Dr. Sandy Schmitz	Director of Special Education
Zach Kelly	Director of Operations
Akwi Nji	Director of School and Community Relations
Joe Parker	Principal, East High
Andy Mieke	Principal, West High
Cary Wieland	Principal, Expo Alternative Learning Center
Zach O'Brien	Principal, Bunker Middle School
Josh Payton	Principal, Carver Academy
Ross Bauer	Principal, Central Middle School
Tom Harskamp	Principal, Hoover Middle School
Brandy Welch	Principal, Becker Elementary
Neldrekka Whitaker	Principal, Cunningham School for Excellence
Matt Willand	Principal, Highland Elementary
Zach Zimmerman	Principal, Irving Elementary
Jana Elliott	Principal, Kingsley Elementary
Audrey Wallican-Green	Principal, Kittrell Elementary
Tamera Phillips	Principal, Lincoln Elementary
Jake Young-Kent	Principal, Lou Henry Elementary
Carrie Heinzerling	Principal, Lowell Elementary
Sunni Hart	Principal, Orange Elementary
Jennifer Willand	Principal, Poyner Elementary
Dr. Charletta Sudduth	Early Childhood Coordinator
Tim Moses	Assistant Principal/Athletic Director, East High
Vimarys Caya	Assistant Principal, East High
Sharrie Wright	Assistant Principal, East High
Allie Hildman	Assistant Principal, West High
Byron Phillips	Assistant Principal, West High
Steve Winters	Assistant Principal, West High
Brian Ortman	Assistant Principal, West High
Tom Ulses	Athletic Director, West High
Henry Shepherd	Assistant Principal, Expo Alternative Learning Center
Charlotte Coleman	Assistant Principal, Carver Middle School
Anthony Thomas	Assistant Principal, Bunker Middle School
Ashley Reimer	Assistant Principal, Bunker Middle School
Steve Thune	Assistant Principal, Carver Academy

**Waterloo Community School District
District Administration
June 30, 2023**

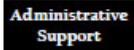
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Mike Thomas	Assistant Principal, Central Middle School
Mike Landers	Assistant Principal, Central Middle School
Lori Netty	Assistant Principal, Hoover Middle School
Cassandra Hart	Assistant Principal, Hoover Middle School
Sam Kreassig	Assistant Principal, Hoover Middle School
Mikayla Montgomery	Assistant Principal, Cunningham School for Excellence
Amy Miede	Administrator, Waterloo Career Center

**Waterloo Community School District
Board of Education and Administration
June 30, 2023**

<u>Board of Education</u>	<u>Position</u>	<u>Term Expires</u>
Sue Flynn	President	November 2023
Endya Johnson	Vice President	November 2025
Jesse Knight	Board Member	November 2023
Astor Williams	Board Member	November 2025
Lyle Schmitt	Board Member	November 2023
Stacie Mills	Board Member	November 2023
Janelle Ewing	Board Member	November 2025
 <u>School Officials</u>		
Dr. Jared Smith	Superintendent	Indefinite
Pam Arndorfer	District Secretary	2023
Michael Coughlin	District Treasurer	2023
Steve Weidner	Attorney	Indefinite
Timothy Luce	Attorney	Indefinite

Administration



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FINANCIAL SECTION

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Independent Auditor's Report

To the School Board
Waterloo Community School District
Waterloo, Iowa

Report on the Audit of the Financial Statements

We have audited the basic financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ended June 30, 2023, and the related notes to basic financial statements, which collectively comprise the District's basic financial statements as listed in the Table of Contents.

In our opinion, the accompanying basic financial statements referred to in the first paragraph present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of June 30, 2023, and the respective changes in financial position and, where applicable, cash flows thereof, for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Waterloo Community School District, Waterloo, Iowa and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter – Implementation of GASB 96

The District has adopted new accounting guidance, Governmental Accounting Standards Board (GASB) Statement No. 96, *Subscription-Based Information Technology Arrangements*. Our opinion is not modified with respect to this matter.

Management's Responsibility for the Basic Financial Statements

The management of Waterloo Community School District is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Management's Responsibility for the Basic Financial Statements (Continued)

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, which raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, which raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, which follows this report letter, and Required Supplementary information as listed in the Table of Contents be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by GASB, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying supplementary information identified in the Table of Contents is presented for purposes of additional analysis and is not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

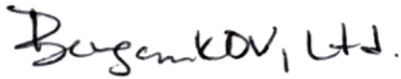
Other Information

Management is responsible for the other information included in the Annual Comprehensive Financial Report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 22, 2023, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "BergankDV, LTD." with a stylized, cursive-like font.

St. Cloud, Minnesota
November 22, 2023

Waterloo Community School District Management's Discussion and Analysis

Waterloo Community School District provides this management's discussion and analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2023. We encourage readers to consider this information in conjunction with the District's financial statements, which follow this narrative overview and analysis.

Financial Highlights

- The assets and deferred outflows of resources of Waterloo Community School District exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by \$142,598,660.
- The General Fund cash, cash equivalents, cash with fiscal agent, accounts receivable, due from other governments and investments increased 6.2% to \$58,032,631 and the General fund balance increased 0.7% to \$35,547,899.
- The State of Iowa granted a 2.50% state supplementary aid [SSA] previously known as allowable growth increase for fiscal year 2023 and previously 2.40% for 2022, 2.03% for 2021, 2.06% for 2020, and 1.11% for 2019. As a general rule, a SSA allowable growth rate of 4-6% is required to fully maintain the increases of the budget for all programs to remain constant. The past history of the allowable growth rate set between 0% and 4% has posed many challenges to the District's educational delivery system.
- In approved 2019 State Legislative action, the Secure an Advanced Vision for Education (SAVE) state one-cent sales tax which has been in effect through 2029 has been extended 20 years to 2050. The state extension guarantees longevity and ability to maintain a Facility Improvement Plan with the added ability for the District to bond against the proceeds without increasing property taxes.
- Since the original LOSST/SAVE funding began in fiscal year 1999-2000, the District has constructed ten new elementary schools, one new middle school, extensively remodeled two elementary schools, created the Waterloo Career Center, and completed other significant projects.

Walter Cunningham School of Excellence	2001-2002	New Building
East High School	2001-2002	Commons Area
West High School	2001-2002	Commons Area
Irving Elementary	2002-2003	New Building
Bunger Middle School	2003-2004	Classrooms Addition
Lincoln Elementary	2003-2004	New Building
Lou Henry Elementary	2004-2005	New Building
Hoover Middle School	2004-2005	Classrooms Addition
Kingsley Elementary	2005-2006	Remodel Building
Lowell Elementary	2004-2008	Remodel Building
Poyner Elementary	2006-2007	New Building
East High School	2006-2007	Auditorium Project
West High School	2006-2007	Locker Room Project
East High School	2007-2008	Locker Room Project
West High School	2008-2009	Auditorium Project
George Washington Carver Academy	2008-2009	New Building
Kittrell Elementary School	2008-2009	New Building
Highland Elementary School	2008-2009	New Building

Waterloo Community School District Management's Discussion and Analysis

Financial Highlights (Continued)

Expo Alternative Education Center	2010-2011	Remodel Building
Kittrell Early Childhood Center	2010-2011	Remodel Building
West High School	2011-2012	Remodel Classrooms
Fred Becker Elementary	2011-2012	New Building
Orange Elementary	2012-2013	New Building
Hoover Middle School	2012-2014	Music and Commons Area
Bus Garage/Technology Offices	2014-2015	Remodel Buildings
Waterloo Career Center	2015-2020	Remodel Building
Lowell Elementary	2020-2022	New Building
Waterloo Career Center	2021-2023	Building Expansion
Central Middle School	2022-2023	Building Remodel

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's discussion and analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The government-wide financial statements consist of a statement of net position and a statement of activities. These provide information about the activities of Waterloo Community School District as a whole and present an overall view of the District's finances.

The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Waterloo Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Waterloo Community School District acts solely as a custodian for the benefit of those outside of the District.

Notes to the financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

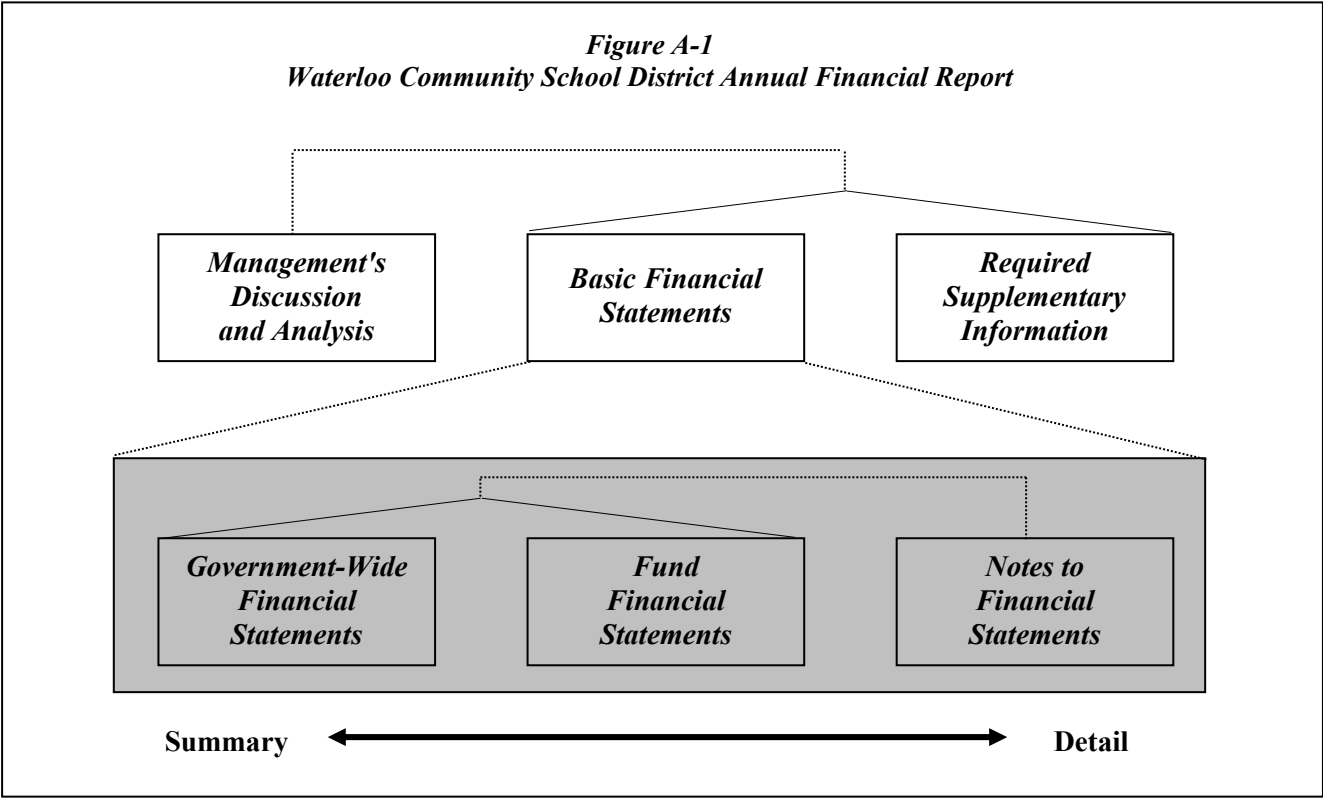
Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the schedule of changes in total OPEB liability for the retiree health plan.

Supplementary information provides detailed information about the nonmajor governmental funds.

**Waterloo Community School District
Management's Discussion and Analysis**

USING THIS ANNUAL REPORT (CONTINUED)

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.



Waterloo Community School District Management's Discussion and Analysis

USING THIS ANNUAL REPORT (CONTINUED)

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
	Government-Wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and internal services	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and agency monies
Required financial statements	• Statement of net position • Statement of activities	• Balance sheet • Statement of revenue, expenditures and changes in fund balances	• Statement of net position • Statement of revenue expenses, and changes in fund net position • Statement of cash flows	• Statement of fiduciary net position • Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow/inflow information	Consumption/acquisition of net assets that is applicable to a future reporting period	Consumption/acquisition of fund balance that is applicable to a future reporting period	Consumption/acquisition of net assets that is applicable to a future reporting period	Consumption/acquisition of net assets that is applicable to a future reporting period
Type of inflow/outflow information	All revenue and expenses during year, regardless of when cash is received or paid	Revenue for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenue and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Waterloo Community School District Management's Discussion and Analysis

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenue and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental activities:* Most of the District's basic services are included here, such as regular and special education, transportation, and administration. Property tax and state aid finance most of these activities.
- *Business-type activities:* The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show it is properly using certain revenue such as federal grants.

The District has three kinds of funds:

1. *Governmental Funds:* Most of the District's basic services are included in governmental funds, which generally focus on (a) how cash and other financial assets that can readily be converted to cash flow in and out and (b) the balances left at year end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

Waterloo Community School District Management's Discussion and Analysis

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES (CONTINUED)

Fund Financial Statements (Continued)

1. *Governmental Funds (Continued)*: The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund, and the Capital Projects Fund.

The required financial statements for governmental funds include a balance sheet and a statement of revenue, expenditures, and changes in fund balances.

2. *Proprietary Funds*: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's enterprise fund, one type of proprietary fund, is the same as its business-type activities, but provides more detail and additional information, such as cash flows. The District's enterprise fund is the School Nutrition Fund. Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District's internal service fund is the Print Shop Fund.

The required financial statements for proprietary funds include a statement of net position, a statement of revenue, expenses and changes in fund net position and a statement of cash flows.

3. *Fiduciary Funds*: The District is the trustee, or fiduciary, for assets that belong to others. These funds include the Private-Purpose Trust and Custodial Funds.

The Private-Purpose Trust Fund is used to account for outside donations for scholarships for individual students.

The Custodial Fund is used to account for assets held by the District as a custodian for individuals and committees within the District for various designated purposes.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a statement of fiduciary net position and a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

Waterloo Community School District Management's Discussion and Analysis

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position as of June 30, 2023, compared to June 30, 2022.

**Figure A-3
Condensed Statement of Net Position**

	Governmental Activities		Business- Type Activities		Total District		Percent Change
	June 30,		June 30,		June 30,		
	2023	2022	2023	2022	2023	2022	
Current and other assets	\$ 129,764,567	\$ 138,431,776	\$ 3,308,702	\$ 2,303,482	\$ 133,073,269	\$ 140,735,258	-5.44%
Capital assets	202,712,396	190,811,946	441,409	418,770	203,153,805	191,230,716	6.23%
Total assets	332,476,963	329,243,722	3,750,111	2,722,252	336,227,074	331,965,974	1.28%
Deferred outflows of resources	13,219,497	13,665,005	304,145	292,205	13,523,642	13,957,210	-3.11%
Total assets and deferred outflows of resources	\$ 345,696,460	\$ 342,908,727	\$ 4,054,256	\$ 3,014,457	\$ 349,750,716	\$ 345,923,184	1.11%
Current liabilities	\$ 33,650,500	\$ 31,091,005	\$ 228,551	\$ 244,221	\$ 33,879,051	\$ 31,335,226	8.12%
Long-term liabilities	126,319,603	92,621,612	1,372,037	325,697	127,691,640	92,947,309	37.38%
Total liabilities	159,970,103	123,712,617	1,600,588	569,918	161,570,691	124,282,535	30.00%
Deferred inflows of resources	45,387,807	93,703,962	193,558	1,364,969	45,581,365	95,068,931	-52.05%
Net position							
Net investment in capital assets	127,451,716	109,621,979	441,409	418,770	127,893,125	110,040,749	16.22%
Restricted	27,817,468	38,257,626	-	-	27,817,468	38,257,626	-27.29%
Unrestricted	(14,930,634)	(22,387,457)	1,818,701	660,800	(13,111,933)	(21,726,657)	-39.65%
Total net position	140,338,550	125,492,148	2,260,110	1,079,570	142,598,660	126,571,718	12.66%
Total liabilities, deferred inflows of resources and net position	\$ 345,696,460	\$ 342,908,727	\$ 4,054,256	\$ 3,014,457	\$ 349,750,716	\$ 345,923,184	1.11%

The District's total net position increased 12.7%, or \$16,026,942, from the prior year. The primary reason for the increase was a decrease in the net pension liability due to changes in actuarial assumptions.

The largest portion of the District's net position is invested in capital assets (e.g., land, buildings, and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets. The primary reason for the increase in Capital Assets is the additions of Central Middle School offset by continued depreciation/amortization on existing assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased \$10,440,158, or 27.3%, over the prior year due to increased spending on capital projects.

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - increased \$8,614,724, or 39.7%. The increase in unrestricted net position was primarily a result of a decrease in the net pension liability due to changes in actuarial assumptions.

Waterloo Community School District Management's Discussion and Analysis

GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

Figure A-4 shows changes in net position for the year ended June 30, 2023, compared to year ended June 30, 2022.

**Figure A-4
Changes in Net Position**

	Governmental Activities		Business-Type Activities		Total District		Percent Change
	2023	2022	2023	2022	2023	2022	
Revenues							
Program revenues							
Charges for services	\$ 4,121,291	\$ 4,674,663	\$ 108,274	\$ 67,998	\$ 4,229,565	\$ 4,742,661	-10.82%
Operating grants and contributions and restricted interest	30,230,211	31,447,756	8,285,787	7,801,562	38,515,998	39,249,318	-1.87%
Capital grants and contributions and restricted interest	-	1,000,000	-	-	-	1,000,000	-100.00%
General revenues							
Property tax	38,887,814	39,540,401	-	-	38,887,814	39,540,401	-1.65%
Statewide sales, services and use tax	12,825,426	14,116,706	-	-	12,825,426	14,116,706	-9.15%
Unrestricted state and federal grants	92,992,146	90,313,243	-	-	92,992,146	90,313,243	2.97%
Unrestricted investment earnings	2,291,161	650,372	70,366	7,435	2,361,527	657,807	259.00%
Total revenues	181,348,049	181,743,141	8,464,427	7,876,995	189,812,476	189,620,136	0.10%
Program Expenses							
Instruction	104,333,496	96,296,994	-	-	104,333,496	96,296,994	8.35%
Support services	52,644,390	50,218,079	-	-	52,644,390	50,218,079	4.83%
Noninstructional programs	855,619	819,613	7,389,857	7,011,695	8,245,476	7,831,308	5.29%
Other	8,562,172	8,442,967	-	-	8,562,172	8,442,967	1.41%
Total expenses	166,395,677	155,777,653	7,389,857	7,011,695	173,785,534	162,789,348	6.75%
Change in net position before transfers	14,952,372	25,965,488	1,074,570	865,300	16,026,942	26,830,788	40.27%
Transfers	(105,970)	(207,012)	105,970	207,012	-	-	N/A
Change in net position	14,846,402	25,758,476	1,180,540	1,072,312	16,026,942	26,830,788	40.27%
Beginning of year net position	125,492,148	99,733,672	1,079,570	7,258	126,571,718	99,740,930	26.90%
End of year net position	\$ 140,338,550	\$ 125,492,148	\$ 2,260,110	\$ 1,079,570	\$ 142,598,660	\$ 126,571,718	12.66%

In fiscal year 2023, property tax and unrestricted state and federal grants accounted for 72.7% of governmental activities revenue while charges for service and operating grants, contributions and unrestricted interest accounted for 100% of business-type activities revenue. The District's total revenue was approximately \$189.8 million, of which approximately \$181.3 million was for governmental activities and \$8.5 million was for business-type activities.

As shown in Figure A-4, the District as a whole experienced a 0.1% increase in revenue and a 6.8% increase in expenses. The overall change in revenue was due to increased investment earnings due to market conditions offset by a decrease in capital contributions due to a large contribution in the prior year. Statewide sales, services and use tax decreased due to fewer payments received from the state. Unrestricted state and federal grants increased due to an increased revenue per pupil from the state. The increase in expenses is primarily due to the increase in the net pension liability due to changes in actuarial assumptions.

Governmental Activities

Revenue for governmental activities was \$181,348,049 and expenses were \$166,395,677, which amounted to an increase in net position of \$14,846,402 for the year ended June 30, 2023.

Waterloo Community School District Management's Discussion and Analysis

GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

Governmental Activities (Continued)

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, non-instructional programs and other expenses for the year ended June 30, 2023, compared to the year ended June 30, 2022.

**Figure A-5
Total and Net Cost of Governmental Activities**

	Net Cost of Governmental Activities					
	Total Cost of Service		Percentage Change	Net Cost of Service		Percentage Change
	2023	2022		2023	2022	
Instruction	\$ 104,333,496	\$ 96,296,994	8.35%	\$ 75,281,641	\$ 64,958,424	15.89%
Support services	52,644,390	50,218,079	4.83%	48,204,030	45,268,309	6.49%
Non-instructional programs	855,619	819,613	4.39%	855,619	819,613	4.39%
Other	8,562,172	8,442,967	1.41%	7,702,885	7,608,888	1.24%
Total	<u>\$ 166,395,677</u>	<u>\$ 155,777,653</u>	<u>6.82%</u>	<u>\$ 132,044,175</u>	<u>\$ 118,655,234</u>	<u>11.28%</u>

For the year ended June 30, 2023:

- The cost financed by users of the District's programs was \$4,121,291.
- Federal and state governments and private entities subsidized certain programs with grants and contributions totaling \$30,230,211.
- The net cost of governmental activities was financed with \$51,713,240 in property and other taxes, \$92,992,146 in unrestricted state and federal grants and \$2,291,161 in unrestricted investment earnings.

Business-Type Activities

Revenue for business-type activities during the year ended June 30, 2023, was \$8,464,427, representing a 7.5% increase over the prior year due to an increase in the number of meals served, while expenses totaled \$7,389,857, a 5.4% increase over the prior year due to an increase in the number of meals served and increased food costs. The District's business-type activities include the School Nutrition Fund. Revenue of these activities was comprised of charges for service, federal and state reimbursements and grants and investment earnings.

- Charges for service represent 1.3% of total revenue for fiscal years 2023. This represents the amount paid by students/staff for daily food service.
- Federal and state operating grants, included reimbursement for meals, payments for free and reduced lunches, commodities provided to the District and other miscellaneous grants, totaled \$8,285,787, or 97.9%, of total revenue. This is reflective of the District's transition to the Community Eligibility Program that results in more students receiving meals at no cost.

Waterloo Community School District Management's Discussion and Analysis

INDIVIDUAL FUND ANALYSIS

As previously noted, Waterloo Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$64,854,183, a decrease of \$9,261,541 from last year's ending fund balances of \$74,115,724. The primary reason for the decrease in combined fund balances at the end of fiscal year 2023 was due to spending proceeds from bonds issued in prior years. Revenue increased from the prior year; \$2,907,353, or 1.6% due to increased state and federal grants received. Expenditures increased 2.5% due to the increase in state and federal grants.

Governmental Fund Highlights

The General Fund is the chief operating fund of the District. At the end of fiscal year 2023, unassigned fund balance of the General Fund was \$31,718,094 while total fund balance increased from \$35,307,511 at the end of fiscal year 2022 to \$35,547,899 the end of fiscal year 2023.

The General Fund balance increased by \$240,388, or 0.7%, during the current fiscal year. The primary reasons for this increase was an increase in state and federal funding received in 2023.

The Debt Service Fund balance increased from \$22,713,606 at the end of fiscal year 2022 to \$24,294,764 at the end of fiscal year 2023. Current year expenditures included bond interest and fiscal charges and principal payments. The increase in fund balance is primarily related to the use of the sinking fund to hold QSCB Bond payments until full bond is mature.

The Capital Projects Fund balance decreased from \$13,639,967 as of June 30, 2022, to \$2,752,274 as of June 30, 2023. Revenues increased due to increased Statewide sales, service and use tax. Expenditures increased in the current year primarily due to the construction of Central Middle School that took place in the current year. Transfers to the Debt Service Fund increased due to the increased debt payment requirements.

Proprietary Fund Highlights

School Nutrition Fund net position was \$2,260,110 as of June 30, 2023. Revenue increased primarily due to more meals served. Expenses increased also due to more meals served as well as increased food costs.

BUDGETARY HIGHLIGHTS

In accordance with state law, the school board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The District adopts a budget in April for the following year and at the same time considers a budget amendment for expenditures for the current year. The District did not amend its original budget for fiscal year 2023.

Waterloo Community School District Management's Discussion and Analysis

BUDGETARY HIGHLIGHTS (CONTINUED)

A schedule showing the original and final budget amounts compared to the District's actual financial activity is provided in this report as required supplementary information.

The District's total revenue was \$13,989,841 less than total budgeted revenue, a variance of 6.8%, primarily due to receiving less state and federal aid than anticipated.

Total expenditures were \$24,382,758 less than total budgeted expenditures, a variance of 10.9%, primarily due to the staffing costs being lower than anticipated and the construction project not completed to anticipated levels.

The certified budget was not exceeded in any area during the year and the District's total spending authority was not exceeded.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

As of June 30, 2023, the District had invested \$203,153,805, net of accumulated depreciation/amortization, in a broad range of capital assets, including land, buildings and improvements, land improvements, right to use equipment, equipment, furniture and construction in progress. (See Figure A-6). This represents a net increase of 6.2% from last year. More detailed information about the District's capital assets is presented in Note 5 to the financial statements. Depreciation/amortization expense was \$6,471,489 for Governmental Activities and \$83,330 for Business-Type Activities.

The original cost of the District's capital assets was approximately \$308.2 million. Governmental funds account for approximately \$304.4 million with the remainder of approximately \$3.8 million accounted for in the Proprietary, School Nutrition Fund.

Figure A-6
Capital Assets, Net of Depreciation/Amortization

	Governmental Activities		Business-Type Activities		Total District		Percentage Change
	June 30,		June 30,		June 30,		
	2023	2022	2023	2022	2023	2022	
Land	\$ 3,426,545	\$ 3,386,545	\$ -	\$ -	\$ 3,426,545	\$ 3,386,545	1.18%
Construction in progress	29,484,537	13,827,215	-	-	29,484,537	13,827,215	113.24%
Buildings and improvements	161,337,579	165,310,189	-	-	161,337,579	165,310,189	-2.40%
Improvements other than buildings	4,803,281	5,212,968	-	-	4,803,281	5,212,968	-7.86%
Right to use equipment	162,000	-	-	-	162,000	-	N/A
Furniture and equipment	3,498,454	3,075,029	441,409	418,770	3,939,863	3,493,799	12.77%
Total	\$ 202,712,396	\$ 190,811,946	\$ 441,409	\$ 418,770	\$ 203,153,805	\$ 191,230,716	6.23%

Waterloo Community School District Management's Discussion and Analysis

CAPITAL ASSETS AND DEBT ADMINISTRATION (CONTINUED)

Capital Assets (Continued)

The increase in capital assets was primarily related to current year additions exceeding current year depreciation/amortization.

Construction in progress as of June 30, 2022, included:

- Lowell Elementary
- Central Middle School
- Various other projects

Construction in progress as of June 30, 2023, included:

- Central Middle School
- Various other projects

Long-Term Debt

As of June 30, 2023, the District had \$79,146,311 of total long-term debt outstanding. This represents a decrease of 7.3% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The Constitution of the State of Iowa limits the amount of debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding debt is significantly below its constitutional debt limit of approximately \$225.4 million.

**Figure A-7
Outstanding Long-Term Debt**

	Total District		
	June 30,		Percent
	2023	2022	Change
Revenue bonds	\$ 76,396,539	\$ 82,412,539	-7.3%
Unamortized bond premium	2,749,772	2,969,754	-7.4%
Total	\$ 79,146,311	\$ 85,382,293	-7.3%

Waterloo Community School District Management's Discussion and Analysis

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The economic factor facing every Iowa school district is the fallout from the COVID-19 pandemic. In March of 2020, the Iowa Governor closed all public-school buildings, and the 2019-20 instructional year was completed with virtual learning opportunities. To address this, the district invested heavily in internet connections, student computer technology, and professional development for staff. Within the buildings, deep cleaning protocols were developed and the state Department of Education "Return to Learn" plan was developed for the start of 2020-21 school year. A significant portion of the additional cost was covered by the CARES and ESSER funds received from the federal government. Future effects are yet to be determined by student enrollment changes, labor market availability and staff retention, competitive wages and benefits, facility needs, state and federal funding, the continuation of the effects of the pandemic, including the instability of national inflation, shortages of natural resources and supply chain management. However, in light of all these challenging conditions, the district remains confident that effective planning and timely implementations will ensure financial health and instructional effectiveness.
- In 2018 the Iowa State Legislature enacted major changes to Iowa Code Chapter 20: Collective Bargaining, which stripped out most areas of mandatory subjects of bargaining. Arbitration awards were also limited by Consumer Price Index percentages. Many districts and association groups settled for low salary increases for fiscal year 2018 and beyond in order to maintain negotiated master contract language. Waterloo Community School District adopted the changes of Iowa Code Chapter 20 and moved the majority of contract language to an Employee Handbook with the commitment of future nonmandatory contract considerations being addressed by District leadership and volunteer staff committees. As to staff compensation, the district has continued with annual salary increases of 3.5% to 4.5% with an additional mid-year adjustment in 2021-22 necessitated by the staff retention needs. The Consumer Price Index of 3.7% as of September 2023 is historically higher than most years but will be in line with recent salary increases.
- In the spring of 2022, the Iowa Legislature passed a significant change to student open enrollment laws. The change addressed the long-standing condition of the law that districts could manage the numbers of students leaving a home district to attend a neighboring district, which was accomplished through application timelines and home district approval conditions. The 2022 law adjustment eliminated application timelines and the need for rationale to qualify. The full impact of this change will take several years to fully realize.

Waterloo Community School District Management's Discussion and Analysis

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE (CONTINUED)

- In 2013, the District started a major initiative to identify, design and construct a 21st century high school system with career technical education (CTE) as a major component to meet the needs of the students, businesses, and industries in the Cedar Valley. The District proceeded with initiating CTE program offerings in 2017 including Nursing/Health Careers and Digital Graphics. Available District funds were used for remodeling a portion of Central Middle School to house the Waterloo Career Center (WCC). Since the 2016-2017 school year, the District has implemented 18 Career and Technical Education programs in phases through the 2020-2021 school year. There are currently over 1,000 studently annually attending classes at the WCC. Beginning in the fall of 2021 the District began an extensive renovation and expansion of the Central Middle School facility to house more programs. For the 2024-2025 school year, five new programs will be added to bring the total number of programs to 23.
- In summary, budget challenges usually mean staff reductions, but the District has made the decision to maintain instructional positions to invest in student achievement goals. When this commitment was made, it resulted in some initial reduction of the fund balance, but through budget planning, consistent enrollment and improved state and federal funding, the fund balance has increased. The District received a state increase of 2.40% in 2021-2022 and 2.50% in 2022-2023. Federal American Recovery Plan revenues were invested in additional hours for teachers, higher average teacher salaries and higher starting wage. The district took advantage of the flexibility of the federal funds to strengthen the district financial health and enable the district to utilize the benefits of the funding for several years in the future.

Regardless of the winds of change, the Waterloo Community School District is committed to our mission.

"The Waterloo Schools community commits to a comprehensive system of education and support to assure that each and every student will graduate prepared for college, career, and citizenship as evidenced by continuing education, pursuing a career path, and contributing to a community."

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions or need additional financial information, contact Jeff Sommerfeldt, Business Manager, Waterloo Community School District, 1516 Washington Street, Waterloo, IA 50702.

BASIC FINANCIAL STATEMENTS

Waterloo Community School District
Statement of Net Position
June 30, 2023

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and investments	\$ 81,152,685	\$ 3,061,358	\$ 84,214,043
Cash with fiscal agent	2,217	-	2,217
Receivables			
Property tax - delinquent	337,052	-	337,052
Property tax - succeeding year	38,009,061	-	38,009,061
Accounts receivable	12,378	-	12,378
Internal balances	(175,081)	175,081	-
Due from other governmental units	9,426,034	57,388	9,483,422
Inventory	276,908	14,875	291,783
Prepaid items	723,313	-	723,313
Capital assets, net of accumulated depreciation/amortization	169,801,314	441,409	170,242,723
Capital assets not being depreciated	32,911,082	-	32,911,082
Total assets	<u>332,476,963</u>	<u>3,750,111</u>	<u>336,227,074</u>
Deferred Outflows of Resources			
Deferred amount on refunding	1,610,272	-	1,610,272
Deferred outflows related to OPEB	802,243	21,129	823,372
Deferred outflows related to pensions	10,806,982	283,016	11,089,998
Total deferred outflows of resources	<u>13,219,497</u>	<u>304,145</u>	<u>13,523,642</u>
 Total assets and deferred outflows of resources	 <u>\$ 345,696,460</u>	 <u>\$ 4,054,256</u>	 <u>\$ 349,750,716</u>
Liabilities			
Accounts and contracts payable	\$ 4,504,733	\$ -	\$ 4,504,733
Salaries and benefits payable	19,355,314	201,226	19,556,540
Interest payable	1,183,360	-	1,183,360
Due to other governmental units	2,994,386	-	2,994,386
Unearned revenue	-	27,325	27,325
Net bond principal payable			
Due within one year	5,145,000	-	5,145,000
Due in more than one year	74,001,311	-	74,001,311
Compensated absences payable			
Due within one year	467,707	-	467,707
Noncurrent liabilities due in more than one year			
Total OPEB liability	12,809,007	337,356	13,146,363
Net pension liability	39,509,285	1,034,681	40,543,966
Total liabilities	<u>159,970,103</u>	<u>1,600,588</u>	<u>161,570,691</u>
Deferred Inflows of Resources			
Property tax levied for succeeding year	38,009,061	-	38,009,061
Deferred inflows related to OPEB	2,151,307	56,660	2,207,967
Deferred inflows related to pensions	5,227,439	136,898	5,364,337
Total deferred inflows of resources	<u>45,387,807</u>	<u>193,558</u>	<u>45,581,365</u>
Net Position			
Net investment in capital assets	127,451,716	441,409	127,893,125
Restricted for			
Categorical funding	1,640,929	-	1,640,929
Debt service	20,836,045	-	20,836,045
Physical plant and equipment	3,081,248	-	3,081,248
Student activities	1,311,612	-	1,311,612
Management levy purposes	947,634	-	947,634
Unrestricted	(14,930,634)	1,818,701	(13,111,933)
Total net position	<u>140,338,550</u>	<u>2,260,110</u>	<u>142,598,660</u>
 Total liabilities, deferred inflows of resources, and net position	 <u>\$ 345,696,460</u>	 <u>\$ 4,054,256</u>	 <u>\$ 349,750,716</u>

Waterloo Community School District
Statement of Activities
Year Ended June 30, 2023

Functions/Programs	Expenses	Program Revenues			Net (Expenses), Revenue, and Changes in Net Position		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Governmental activities							
Instruction							
Regular	\$ 65,974,520	\$ 538,892	\$ 16,540,239	\$ -	\$ (48,895,389)	\$ -	\$ (48,895,389)
Special	32,155,780	2,455,164	7,680,728	-	(22,019,888)	-	(22,019,888)
Vocational	3,100,717	-	591,286	-	(2,509,431)	-	(2,509,431)
Other	3,102,479	906,878	338,668	-	(1,856,933)	-	(1,856,933)
Support Services							
Student	6,659,600	3,750	-	-	(6,655,850)	-	(6,655,850)
Instructional staff	6,728,295	1,440	3,821,268	-	(2,905,587)	-	(2,905,587)
General administration	3,719,436	-	-	-	(3,719,436)	-	(3,719,436)
School administration	9,389,427	-	-	-	(9,389,427)	-	(9,389,427)
Business and central administration	6,424,407	-	35,946	-	(6,388,461)	-	(6,388,461)
Operation and maintenance of plant	14,173,948	215,167	3,500	-	(13,955,281)	-	(13,955,281)
Transportation	4,252,778	-	359,289	-	(3,893,489)	-	(3,893,489)
Facilities acquisition	1,296,499	-	-	-	(1,296,499)	-	(1,296,499)
Noninstructional programs	855,619	-	-	-	(855,619)	-	(855,619)
Interest and fiscal charges	2,476,791	-	859,287	-	(1,617,504)	-	(1,617,504)
Unallocated depreciation - excluding direct depreciation of other programs	6,085,381	-	-	-	(6,085,381)	-	(6,085,381)
Total governmental activities	166,395,677	4,121,291	30,230,211	-	(132,044,175)	-	(132,044,175)
Business-type activities							
Noninstructional programs							
Food service operations	7,389,857	108,274	8,285,787	-	-	1,004,204	1,004,204
Total	<u>\$ 173,785,534</u>	<u>\$ 4,229,565</u>	<u>\$ 38,515,998</u>	<u>\$ -</u>	<u>(132,044,175)</u>	<u>1,004,204</u>	<u>(131,039,971)</u>
General revenues							
Taxes							
Property taxes, levied for general purposes					32,683,607	-	32,683,607
Property taxes, levied for management levy purposes					2,997,445	-	2,997,445
Property taxes, levied for capital outlay					3,206,762	-	3,206,762
Unrestricted statewide sales, services, and use tax					12,825,426	-	12,825,426
Unrestricted state and federal grants					92,992,146	-	92,992,146
Unrestricted investment earnings					2,291,161	70,366	2,361,527
Transfers					(105,970)	105,970	-
Total general revenues					<u>146,890,577</u>	<u>176,336</u>	<u>147,066,913</u>
Change in net position					14,846,402	1,180,540	16,026,942
Net position - beginning					125,492,148	1,079,570	126,571,718
Net position - ending					<u>\$ 140,338,550</u>	<u>\$ 2,260,110</u>	<u>\$ 142,598,660</u>

See notes to basic financial statements.

Waterloo Community School District
Balance Sheet - Governmental Funds
June 30, 2023

	General (10)	Debt Service (40)	Capital Projects	Nonmajor Funds	Total Governmental Funds
Assets					
Cash and investments	\$ 50,068,756	\$ 24,294,764	\$ 4,423,538	\$ 2,359,539	\$ 81,146,597
Cash with fiscal agent	2,217	-	-	-	2,217
Receivables					
Property tax - delinquent	281,754	-	29,787	25,511	337,052
Property tax - succeeding year	31,583,936	-	3,185,134	3,239,991	38,009,061
Accounts receivable	7,560	-	-	1,500	9,060
Due from other governmental units	7,954,098	-	1,471,770	166	9,426,034
Due from other funds	132,218	-	-	5,510	137,728
Inventory	234,571	-	-	-	234,571
Prepaid items	723,313	-	-	-	723,313
Total assets	<u>\$ 90,988,423</u>	<u>\$ 24,294,764</u>	<u>\$ 9,110,229</u>	<u>\$ 5,632,217</u>	<u>\$ 130,025,633</u>
Liabilities					
Accounts and contracts payable	\$ 1,684,879	\$ -	\$ 2,799,854	\$ 20,000	\$ 4,504,733
Salaries and benefits payable	19,239,056	-	-	111,405	19,350,461
Due to other governmental units	2,932,653	-	60,158	1,575	2,994,386
Due to other funds	-	-	312,809	-	312,809
Total liabilities	<u>23,856,588</u>	<u>-</u>	<u>3,172,821</u>	<u>132,980</u>	<u>27,162,389</u>
Deferred inflows of resources					
Unavailable revenue - succeeding year property tax	<u>31,583,936</u>	<u>-</u>	<u>3,185,134</u>	<u>3,239,991</u>	<u>38,009,061</u>
Fund Balances					
Nonspendable for					
Inventory	234,571	-	-	-	234,571
Prepaid items	723,313	-	-	-	723,313
Restricted for					
Categorical funding	1,640,929	-	-	-	1,640,929
Debt service	-	24,294,764	-	-	24,294,764
Physical plant and equipment	-	-	3,081,248	-	3,081,248
Management levy purposes	-	-	-	947,634	947,634
Student activities	-	-	-	1,311,612	1,311,612
Assigned for					
Alternate health insurance plan	1,230,992	-	-	-	1,230,992
Unassigned	31,718,094	-	(328,974)	-	31,389,120
Total fund balances	<u>35,547,899</u>	<u>24,294,764</u>	<u>2,752,274</u>	<u>2,259,246</u>	<u>64,854,183</u>
Total liabilities, deferred inflows of resources, and fund balances	<u>\$ 90,988,423</u>	<u>\$ 24,294,764</u>	<u>\$ 9,110,229</u>	<u>\$ 5,632,217</u>	<u>\$ 130,025,633</u>

**Waterloo Community School District
Reconciliation of the Balance Sheet to
the Statement of Net Position - Governmental Funds
June 30, 2023**

Total fund balances - governmental funds	\$ 64,854,183
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not current financial resources and, therefore, are not reported as assets in governmental funds.	
Cost of capital assets	304,337,286
Less accumulated depreciation/amortization	(101,624,890)
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.	
Long-term liabilities at year-end consist of:	
Bond principal payable	(76,396,539)
Bond premiums	(2,749,772)
Compensated absences payable	(467,707)
Total OPEB liability	(12,809,007)
Net pension liability	(39,509,285)
Deferred outflows of resources and deferred inflows of resources are created as a result of various differences related to pensions, OPEB and long-term liabilities that are not recognized in the governmental funds.	
Deferred outflows related to pensions	10,806,982
Deferred inflows related to pensions	(5,227,439)
Deferred inflows related to OPEB	(2,151,307)
Deferred outflows related to OPEB	802,243
Deferred amount on refunding	1,610,272
An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position and interfund activity is removed.	
	46,890
Governmental funds do not report a liability for accrued interest on bonds until due and payable.	<u>(1,183,360)</u>
Total net position - governmental activities	<u><u>\$ 140,338,550</u></u>

Waterloo Community School District
Statement of Revenues, Expenditures, and
Changes in Fund Balances - Governmental Fund
Year Ended June 30, 2023

	General (10)	Debt Service (40)	Capital Projects	Nonmajor Funds	Total Governmental Funds
Revenues					
Revenue from local sources					
Local property taxes	\$ 32,683,607	\$ -	\$ 3,206,762	\$ 2,997,445	\$ 38,887,814
Tuition	1,191,531	-	-	-	1,191,531
Other local and county revenues	2,369,647	312,784	151,078	1,269,253	4,102,762
Revenue from state sources	95,137,898	-	14,612,730	1,118	109,751,746
Revenue from federal sources	28,409,870	-	859,287	-	29,269,157
Total revenues	<u>159,792,553</u>	<u>312,784</u>	<u>18,829,857</u>	<u>4,267,816</u>	<u>183,203,010</u>
Expenditures					
Current					
Instruction					
Regular	68,071,278	-	-	1,446,280	69,517,558
Special	28,014,237	-	-	-	28,014,237
Vocational	2,705,191	-	-	-	2,705,191
Other	1,863,121	-	-	1,233,929	3,097,050
Support services					
Student	6,951,837	-	-	1,769	6,953,606
Instructional staff	7,197,703	-	-	-	7,197,703
General administration	3,389,669	-	2,432	512,129	3,904,230
School administration	9,718,268	-	-	273,531	9,991,799
Business and central administration	4,598,517	-	-	31,731	4,630,248
Operation and maintenance of plant	13,234,615	-	172,007	915,421	14,322,043
Transportation	4,252,315	-	-	-	4,252,315
Noninstructional programs	892,922	-	-	27,829	920,751
AEA flowthrough	5,741,971	-	-	-	5,741,971
Facilities acquisition	-	-	2,244,648	-	2,244,648
Capital outlay	3,009,916	-	17,480,734	-	20,490,650
Debt service					
Principal	-	6,016,000	-	-	6,016,000
Interest and fiscal charges	-	2,427,385	-	-	2,427,385
Total expenditures	<u>159,641,560</u>	<u>8,443,385</u>	<u>19,899,821</u>	<u>4,442,619</u>	<u>192,427,385</u>
Excess of revenues over (under) expenditures	150,993	(8,130,601)	(1,069,964)	(174,803)	(9,224,375)
Other Financing Sources (Uses)					
Insurance recoveries	68,804	-	-	-	68,804
Transfers in	20,591	9,711,759	-	-	9,732,350
Transfers out	-	-	(9,817,729)	(20,591)	(9,838,320)
Total other financing sources (uses)	<u>89,395</u>	<u>9,711,759</u>	<u>(9,817,729)</u>	<u>(20,591)</u>	<u>(37,166)</u>
Net change in fund balances	240,388	1,581,158	(10,887,693)	(195,394)	(9,261,541)
Fund Balances					
Beginning of year	<u>35,307,511</u>	<u>22,713,606</u>	<u>13,639,967</u>	<u>2,454,640</u>	<u>74,115,724</u>
End of year	<u>\$ 35,547,899</u>	<u>\$ 24,294,764</u>	<u>\$ 2,752,274</u>	<u>\$ 2,259,246</u>	<u>\$ 64,854,183</u>

See notes to basic financial statements.

**Waterloo Community School District
Reconciliation of the Statement of Revenues, Expenditures,
and Changes in Fund Balances to the
Statement of Activities - Governmental Funds
Year Ended June 30, 2023**

Net change in fund balances - total governmental funds	\$ (9,261,541)
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Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays are reported in governmental funds as expenditures. However, in the Statement of Activities, the cost of those assets is allocated over the useful lives as depreciation/amortization expense.

Capital outlays	18,371,939
Depreciation/amortization expense	(6,471,489)

Compensated absences and severance are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities.	(57,115)
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OPEB are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities.	(989,255)
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Principal payments on long-term debt are recognized as expenditures or other financing uses in the governmental funds but have no effect on net position in the Statement of Activities.	6,016,000
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The current year District employer share of IPERS contributions is reported as an expenditure in the governmental funds, but is reported as a deferred outflow of resources in the statement of net position.	8,687,823
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Pension expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.	511,922
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Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recognized as an expenditure in the funds when it is due and thus requires use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.	52,666
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Governmental funds report the effect of bond premiums and deferred amounts when the debt is first issued, whereas these amounts are deferred and amortized in the Statement of Activities.	(102,072)
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An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The change in net position is reported within the governmental activities in the Statement of Activities.	11,289
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Long-term assets will be collected in subsequent years, but are not available soon enough to pay for the current period's expenditures and, therefore, are not recognized as revenues in the funds.	(1,923,765)
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Change in net position - governmental activities	<u>\$ 14,846,402</u>
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Waterloo Community School District
Statement of Net Position - Proprietary Funds
June 30, 2023

	Business Type Activities Nonmajor Enterprise	Governmental Activities Internal Service
	School Nutrition (61)	Print Shop (73)
Assets		
Current		
Cash and cash equivalents	\$ 3,061,358	\$ 6,088
Accounts receivable	-	3,318
Due from other governments	57,388	-
Due from other funds	175,081	-
Inventory	14,875	42,337
Total current assets	<u>3,308,702</u>	<u>51,743</u>
Noncurrent		
Capital assets, net of accumulated depreciation	441,409	-
Total assets	<u>3,750,111</u>	<u>51,743</u>
Deferred Outflows of Resources		
Deferred outflows related to OPEB	21,129	-
Deferred outflows related to pensions	283,016	-
Total deferred outflows of resources	<u>304,145</u>	<u>-</u>
Total assets and deferred outflows of resources	<u>\$ 4,054,256</u>	<u>\$ 51,743</u>
Liabilities		
Current		
Accounts payable	\$ -	\$ -
Salaries and benefits payable	201,226	4,853
Unearned revenue	27,325	-
Total current liabilities	<u>228,551</u>	<u>4,853</u>
Noncurrent		
Net pension liability	1,034,681	-
Total OPEB liability	337,356	-
Total noncurrent liabilities	<u>1,372,037</u>	<u>-</u>
Total liabilities	<u>1,600,588</u>	<u>4,853</u>
Deferred Inflows of Resources		
Deferred inflows related to OPEB	56,660	-
Deferred inflows related to pensions	136,898	-
Total deferred inflows of resources	<u>193,558</u>	<u>-</u>
Net Position		
Investment in Capital Assets	441,409	-
Unrestricted	1,818,701	46,890
Total net position	<u>2,260,110</u>	<u>46,890</u>
Total liabilities, deferred inflows of resources, and net position	<u>\$ 4,054,256</u>	<u>\$ 51,743</u>

See notes to basic financial statements.

Waterloo Community School District
Statement of Revenues, Expenses, and Changes
in Fund Net Position - Proprietary Funds
Year Ended June 30, 2023

	Business-Type Activities	Governmental Activities
	Nonmajor Enterprise School Nutrition (61)	Internal Service Print Shop (73)
Operating revenues		
Local Sources		
Charges for services	\$ 89,402	\$ 247,633
Other receipts	18,872	-
Total revenue	<u>108,274</u>	<u>247,633</u>
Operating expenses		
Noninstructional programs		
Food service and print shop operations		
Salaries and benefits	2,346,600	146,102
Employee benefits	868,111	58,272
Purchased services	3,266	1,515
Supplies	3,963,337	30,455
Other	125,213	-
Depreciation	83,330	-
Total operating expenses	<u>7,389,857</u>	<u>236,344</u>
Operating income loss	(7,281,583)	11,289
Nonoperating revenues (expenses)		
Federal sources	8,231,477	-
State sources	54,310	-
Investment income	70,366	-
Total nonoperating revenues (expenses)	<u>8,356,153</u>	<u>-</u>
Change before transfers	1,074,570	11,289
Transfers in	<u>105,970</u>	<u>-</u>
Change in net position	1,180,540	11,289
Net position		
Beginning of year	<u>1,079,570</u>	<u>35,601</u>
End of year	<u>\$ 2,260,110</u>	<u>\$ 46,890</u>

Waterloo Community School District
Statement of Cash Flows -
Proprietary Funds
Year Ended June 30, 2023

	Business Type Activities	Governmental Activities
	Nonmajor Enterprise	Internal Service
	School Nutrition (61)	Print Shop (73)
Cash Flows - Operating Activities		
Cash received from print shop services	\$ -	\$ 246,161
Cash received from sale of lunches and breakfast	88,825	-
Cash received from other	18,872	-
Payments to employees	(3,346,184)	(203,912)
Payments to suppliers	(3,508,035)	(41,732)
Net cash flows - operating activities	<u>(6,746,522)</u>	<u>517</u>
Cash Flows - Noncapital Financing Activities		
State grants received	54,310	-
Federal grants received	7,842,685	-
Transfers from other funds	105,970	-
Proceeds or repayment received from interfund loans	(2,477,383)	-
Repayment of interfund loans	2,500,850	-
Net cash flows - noncapital financing activities	<u>8,026,432</u>	<u>-</u>
Cash Flows - Capital and Related Financing Activities		
Acquisition of capital assets	(105,969)	-
Net cash flows - capital and related financing activities	<u>(105,969)</u>	<u>-</u>
Cash Flows - Investment Activities		
Interest received	70,366	-
Net cash flows - investment activities	<u>70,366</u>	<u>-</u>
Net change in cash and cash equivalents	1,244,307	517
Cash and Cash Equivalents		
Beginning of year	1,817,051	5,571
End of year	<u>\$ 3,061,358</u>	<u>\$ 6,088</u>
Reconciliation of Operating Income (Loss) to Net Cash		
Flows - Operating Activities		
Operating income (loss)	\$ (7,281,583)	\$ 11,289
Adjustments to reconcile operating income (loss) to net cash flows - operating activities		
Commodities used	578,044	-
Depreciation	83,330	-
Accounts receivable	-	(1,472)
Inventory	26,368	(9,762)
Pension expense	(188,845)	-
OPEB expense	51,834	-
Accounts payable	(20,631)	-
Salaries and benefits payable	5,538	462
Unearned revenue	(577)	-
Net adjustments	<u>535,061</u>	<u>(10,772)</u>
Net cash flows - operating activities	<u>\$ (6,746,522)</u>	<u>\$ 517</u>
Non-cash investing, capital and related financing activities		
During the year ended June 30, 2023 the District received federal commodities.	\$ 578,044	\$ -

See notes to basic financial statements.

**Waterloo Community School District
Statement of Fiduciary Net Position
June 30, 2023**

	Private Purpose Trust Fund	Custodial Fund
Assets		
Current		
Cash and investments	\$ 15,400	\$ 42,434
Net Position		
Held for other organizations	\$ -	\$ 42,434
Held in trust	15,400	-
Total	15,400	42,434

**Statement of Changes in Fiduciary Net Position
Year Ended June 30, 2023**

	Private Purpose Trust Fund	Custodial Fund
Additions		
Contributions	\$ 10,000	\$ 19,484
Interest revenue	406	-
Total additions	10,406	19,484
Deductions		
Staff social committees	-	19,333
Scholarships	6,750	-
Total deductions	6,750	19,333
Change in net position	3,656	151
Net Position		
Beginning of year	11,744	42,283
End of year	\$ 15,400	\$ 42,434

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Waterloo Community School District Notes to Basic Financial Statements

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Waterloo Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades pre-kindergarten through twelve. Additionally, the District also either operates or sponsors various adult education programs. These courses include remedial education as well as vocational and recreational courses. The geographic area served includes the Cities of Waterloo, Evansdale, Elk Run Heights, Raymond, Gilbertville and a portion of Cedar Falls, Iowa, and the surrounding predominate agricultural territory in Black Hawk County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's basic financial statements are prepared in conformity with accounting principles generally accepted in the United States as prescribed by the Governmental Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Waterloo Community School District has included all funds, organizations, agencies, boards, commissions, and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's basic financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District. The District has no material component units which meet the Governmental Accounting Standards Board criteria.

B. Jointly Governed Organizations

The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Black Hawk County Assessor's Conference Board.

C. Basic Financial Statement Information

The Statement of Net Position and the Statement of Activities report information on all the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. There was no material interfund service provided and used not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenue, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. Net position is reported in the following categories:

Net Investment in Capital Assets – Consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets. This balance also has an adjustment for \$2,260,000 for unspent bond proceeds required to be held in reserves.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

C. Basic Financial Statement Information (Continued)

Restricted Net Position – Results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted Net Position – Consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenue. Direct expenses are those that are clearly identifiable with a specific function. Program revenue includes: (1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and (2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenue are reported instead as general revenue.

Depreciation expense that can be specifically identified by function is included in the direct expenses of that function. Depreciation expense relative to assets that serve multiple functions is presented as unallocated depreciation in the Statement of Activities. This amount excludes the depreciation that is included in the direct expenses, as noted above. Interest on general long-term debt is considered an indirect expense and is reported separately in the Statement of Activities. The effect of interfund activity has been removed from these statements.

Separate fund financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though fiduciary funds are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The trust and custodial funds are presented in the fiduciary fund financial statements. Since by definition these assets are being held for the benefit of a third party (other local governments, private parties, etc.) and cannot be used to address activities or obligations of the District, these funds are not incorporated into the government-wide statements.

D. Measurement Focus and Basis of Accounting

The accounting and financial reporting treatment applied is determined by its measurement focus and basis of accounting. The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied. The trust and custodial funds are custodial in nature and have no measurement focus; however, they use the accrual basis of accounting.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting (Continued)

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenue is recognized when it becomes measurable and available. Revenue is considered to be available when it is collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if it is collected within 60 days after year end.

Property tax, intergovernmental revenue (shared revenue, grants, and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgements, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenue. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy and procedure to first apply cost-reimbursement grant sources to such programs, and then general revenue.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy and procedure is generally to first apply the expenditure toward restricted fund balance and then to less-restrictive classifications – committed, assigned, and then unassigned fund balances.

Proprietary funds distinguish operating revenue and expenses from nonoperating items. Operating revenue and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the District's Enterprise Fund is charges to customers for sales and services. Operating expenses for the Enterprise Fund include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenue and expenses not meeting this definition are reported as nonoperating revenue and expenses.

The District maintains its financial records on the cash basis. The basic financial statements of the District are prepared by making memorandum adjusting entries to the cash basis financial records.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting (Continued)

Description of Funds:

Major Governmental Funds:

General Fund – This fund is the general operating fund of the District. All general tax revenue and other revenue not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support, and other costs.

Debt Service Fund – This fund is utilized to account for property tax and other revenue to be used for the payment of interest and principal on the District's general long-term debt.

Capital Projects Fund – This fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

Nonmajor Proprietary Funds:

School Nutrition Enterprise Fund – This fund is used to account for the food service operations of the District.

Print Shop Internal Service Fund – This fund is utilized to account for printing services provided by the District.

The District also reports fiduciary funds which focus on net position and changes in net position.

Fiduciary Funds:

Private Purpose Trust Fund – This fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

Custodial Fund – This fund is used to account for assets held by the District as a custodian for individuals and committees for various designated purposes. These assets are as a result of outside organizations generating revenue to use for activities that do not directly benefit the District.

E. Cash, Cash Equivalents, and Investments

The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust, and the Goldman Sachs Financial Square Fund which are valued at amortized cost.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

E. Cash, Cash Equivalents, and Investments (Continued)

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the day of purchase, they have a maturity date no longer than three months.

F. Property Tax Receivable

Property tax in the governmental funds is accounted for using the modified accrual basis of accounting.

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1-1/2% per month penalty for delinquent payments; is based on January 1, 2021, assessed property valuations; is for the tax accrual period July 1, 2022 through June 30, 2023; and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2022.

G. Due from Other Governments

Due from other governments represents primarily amounts due from the State of Iowa, also included are amounts due for various shared revenue, grants, and reimbursements from other governments.

H. Inventories

Inventories are valued at cost using the first-in, first-out (FIFO) method for purchased items and contributed value for government commodities. Inventories are recorded as expenses when consumed rather than when purchased or received in the government-wide financial statements and proprietary fund financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold.

I. Prepaid Items

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements using the consumption method.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

J. Capital Assets

Capital assets, which include property, furniture and equipment are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend asset useful lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Land	\$ 5,000
Buildings and improvements	5,000
Improvements other than buildings	5,000
Furniture and equipment	
School Nutrition Fund equipment	500
Other furniture and equipment	5,000

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Buildings and improvements	7-50 Years
Improvements other than buildings	20-30 Years
Furniture and equipment	5-25 Years

K. Deferred Outflows of Resources

Deferred outflows of resources represent a consumption of net assets that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, contributions from the District after the measurement date but before the end of the District's reporting period and the deferred amount on refunding bonds resulting from the difference in the carrying value of refunded debt and the reacquisition price. Deferred outflows of resources related to OPEB are recorded on the Statements of Net Position for various estimate differences that will be amortized and recognized over future years.

L. Salaries and Benefits Payable

Payroll and related expenditures for employees with annual contracts corresponding to a current school year, which are payable in July and August have been accrued as liabilities.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

M. Compensated Absences

District employees accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death, or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees that have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2023. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund. The District chooses to classify all vacation payable as due within one year since they believe all vacation carried over will be used in the subsequent year.

N. Long-Term Obligations

In the government-wide financial statements, long-term debt, and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. Bond premiums are amortized over the life of the bonds using the straight-line method. Refunding of debt may result in deferred gains or losses and are reported as deferred inflows and outflows of resources. The difference between the reacquisition price and the net carrying amount of the old debt is deferred and amortized as a component of long-term debt interest and fiscal charges using the straight-line method.

In the fund financial statements, governmental fund types recognize bond premiums, and bond issuance costs during the current period. The face amount of debt issued is reported as another financing source. Premiums received on debt issuances are reported as other financing sources. Issuance costs, whether or not withheld or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

O. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund and the School Nutrition Enterprise Fund.

P. Total OPEB Liability

For purposes of measuring the total OPEB liability, deferred outflows and deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the School Nutrition Enterprise Fund.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Q. Deferred Inflows of Resources

Deferred inflows of resources represent an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. Although certain revenue is measurable, it is not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements consist of property taxes receivable and other receivables not collected within 60 days after year end.

Deferred inflows of resources in the statement of net position consists of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension expense and amounts related to OPEB for various estimate differences that will be amortized and recognized over future years.

R. Fund Balances

In the governmental fund financial statements, fund balances are classified as follows:

- Nonspendable – Amounts that cannot be spent because they are in nonspendable form or because they are legally or contractually required to be maintained intact.
- Restricted – Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, granters, or state or federal laws or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted fund balance.
- Assigned – Amounts the Board of Education intends to use for specific purposes. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Superintendent.
- Unassigned – All amounts not included in the preceding classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. A negative unassigned fund balance may be reported in other governmental funds if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

S. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as required supplementary information. During the year ended June 30, 2023, expenditures/expenses did not exceed the amounts budgeted and the District did not exceed its General Fund unspent authorized budget.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

T. Estimates and Assumptions

The preparation of basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities, deferred inflows of resources, and disclosure of contingent assets and liabilities at the date of the basic financial statements and the reported amounts of revenue and expenditures/expenses during the reporting period. Actual results could differ from those estimates.

NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS

The District is authorized by statute to invest public funds in obligations of the United States Government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high-rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvements certificates of a drainage district.

As of June 30, 2023, the District had the following nonpooled investments:

<u>Investment</u>	<u>Fair Value</u>	<u>Maturity</u>
U.S. Treasury Notes	\$ 15,207,972	July, 1, 2025
U.S. Treasury Bonds	1,086,445	May 15, 2025
Goldman Sachs Financial Square Fund	<u>2,250,093</u>	
Total	<u>\$ 18,544,510</u>	

The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets. Level 2 inputs are significant other observable inputs. Level 3 inputs are significant unobservable inputs.

The recurring fair value measurement for the U.S. Treasury Notes and Bonds of \$16,294,417 was determined using the last reported sales price at current exchange rates (Level 1 inputs).

As of June 30, 2023, the District had investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Portfolio which are valued at an amortized cost of \$669,234. The Goldman Sachs Financial Square Fund is also measured at amortized cost. There were no limitations or restrictions on withdrawals of these investments.

A. Interest Rate Risk

The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days, but the maturities shall be consistent with the needs and use of the District.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)

B. Credit Risk

The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market, and checking accounts in the District's authorized depositories; the Iowa Schools Joint Investment Trust; obligations of the United States governments, its agencies, and instrumentalities; and certificates of deposit and other evidence of deposit at federally insured Iowa depository institutions. The Iowa Schools Joint Investment Trust and the Goldman Sachs Financial Square Fund were rated AAAm by Standard & Poor's Financial Services. The District's policy does not further limit the District's investments in relation to credit risk.

C. Concentration of Credit Risk

The District's general investment policy is to apply the prudent-person rule: in making investments, the District shall exercise the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investments in the Iowa Schools Joint Investment Trust, the Goldman Sachs Financial Square Fund and U.S. Treasury Notes and Bonds are not subject to concentration of credit risk.

D. Custodial Credit Risk

For deposits, custodial credit risk is the risk that in an event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District does not have a formal policy for custodial credit risk.

The District's deposits in banks as of June 30, 2023, were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the *Code of Iowa*. This chapter provides for additional assessments against the depositories to insure there will be no loss of public funds.

E. Deposits and Investments

Summary of cash, deposits, and investments as of June 30, 2023:

Deposits - pooled	\$ 54,736,953
Deposits - non-pooled	4,562,377
Investments - pooled	669,234
Investments - non-pooled	18,544,510
Deposits held in UMB accounts - nonpooled	5,750,254
Cash with fiscal agent	2,217
Petty cash	8,549
Total deposits and investments	<u><u>\$ 84,274,094</u></u>

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 2 – CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)

E. Deposits and Investments (Continued)

Cash, deposits and investments are presented in the June 30, 2023, basic financial statements as follows:

Statement of Net Position	
Cash and investments	\$ 84,214,043
Cash with fiscal agent	2,217
Statement of Fiduciary Net Position	
Private Purpose Trust Fund	15,400
Custodial Fund	42,434
Total	\$ 84,274,094

NOTE 3 – DUE TO AND DUE FROM OTHER FUNDS

Receivable Fund	Payable Fund	Amount
General	Capital Projects	\$ 132,218
Nonmajor Special Revenue - Student Activity	Capital Projects	5,510
Enterprise - School Nutrition	Capital Projects	175,081
Total		\$ 312,809

The Capital Projects Fund is repaying the General, Student Activity Special Revenue Fund and the School Nutrition Enterprise Fund for various expenses not reimbursed before year end. The balances are to be repaid by June 30, 2024.

NOTE 4 – INTERFUND TRANSFERS

The detail of the interfund transfers for the year ended June 30, 2023, is as follows:

Transfer to	Transfer From	Amount
Debt service	Capital projects	\$ 9,711,759
Enterprise - School nutrition	Capital projects	105,970
General	Nonmajor - special revenue management levy	20,591
Total		\$ 9,838,320

Transfers are used to (1) move revenue from the fund that statute or budget requires to collect the resources to the fund that statute or budget requires to expend the resources or (2) use unrestricted revenue collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization.

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 5 – CAPITAL ASSETS

Capital assets activity for the year ended June 30, 2023, was as follows:

	Balance – Beginning of Year	Increases	Decreases	Balance – End of Year
Governmental Activities				
Capital assets not being depreciated/amortized				
Land	\$ 3,386,545	\$ 40,000	\$ -	\$ 3,426,545
Construction in progress	13,827,215	17,193,929	1,536,607	29,484,537
Total capital assets not being depreciated/amortized	17,213,760	17,233,929	1,536,607	32,911,082
Capital assets being depreciated/amortized				
Buildings and improvements	243,748,847	1,351,695	-	245,100,542
Improvements other than buildings	11,504,439	64,692	-	11,569,131
Right to use equipment	-	243,000	-	243,000
Furniture and equipment	13,754,710	1,015,230	256,409	14,513,531
Total capital assets being depreciated/amortized	269,007,996	2,674,617	256,409	271,426,204
Less accumulated depreciation/amortization for				
Buildings and improvements	78,438,658	5,324,305	-	83,762,963
Improvements other than buildings	6,291,471	474,379	-	6,765,850
Right to use equipment	-	81,000	-	81,000
Furniture and equipment	10,679,681	591,805	256,409	11,015,077
Total accumulated depreciation/amortization	95,409,810	6,471,489	256,409	101,624,890
Total capital assets being depreciated/amortized, net	173,598,186	(3,796,872)	-	169,801,314
Governmental activities capital assets, net	<u>\$ 190,811,946</u>	<u>\$ 13,437,057</u>	<u>\$ 1,536,607</u>	<u>\$ 202,712,396</u>
Business-Type Activities				
Furniture and equipment	\$ 3,739,825	\$ 105,970	\$ 18,941	\$ 3,826,854
Less accumulated depreciation	3,321,056	83,330	18,941	3,385,445
Business-type activities capital assets, net	<u>\$ 418,769</u>	<u>\$ 22,640</u>	<u>\$ -</u>	<u>\$ 441,409</u>

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 5 – CAPITAL ASSETS (CONTINUED)

Depreciation/amortization expense was charged to the following functions:

Governmental Activities

Instruction	
Regular	\$ 105,993
Vocational	47,117
Other	46,770
Support Services	
General administration	2,004
School administration	623
Business and central administration	63,861
Operation and maintenance of plant	195,740
Transportation	5,000
Unallocated	<u>6,004,381</u>
 Total depreciation/amortization expense - governmental activities	 <u><u>\$ 6,471,489</u></u>

Business-Type Activities

Food service operations	<u><u>\$ 83,330</u></u>
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NOTE 6 – LONG-TERM LIABILITIES

Changes in long-term liabilities for the year ended June 30, 2023, are summarized as follows:

	Balance - Beginning of Year	Additions	Reductions	Balance - End of Year	Due Within One Year
Governmental Activities					
Revenue bonds	\$ 82,412,539	\$ -	\$ 6,016,000	\$ 76,396,539	\$ 5,145,000
Unamortized premium on bonds payable	2,969,754	-	219,982	2,749,772	-
Compensated absences	<u>410,592</u>	<u>1,218,059</u>	<u>1,160,944</u>	<u>467,707</u>	<u>467,707</u>
 Total	 <u><u>\$ 85,792,885</u></u>	 <u><u>\$ 1,218,059</u></u>	 <u><u>\$ 7,396,926</u></u>	 <u><u>\$ 79,614,018</u></u>	 <u><u>\$ 5,612,707</u></u>

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)

Revenue Bonds

Details of the District's June 30, 2023, statewide sales, services and use tax revenue (and refunding) bonded indebtedness are as follows:

Bonds Issued April 26, 2011 - Series B Original Issue Amount - \$16,379,539					
Year Ending June 30,	Interest Rate	Principal	Interest	Credit	Interest Net of Credit
2024	5.85%	\$ -	\$ 958,203	\$ (884,495)	\$ 73,708
2025	5.85%	-	958,203	(884,495)	73,708
2026	5.85%	16,379,539	479,102	(442,248)	36,854
Total		<u>\$ 16,379,539</u>	<u>\$ 2,395,508</u>	<u>\$ (2,211,238)</u>	<u>\$ 184,270</u>

Bonds Issued March 1, 2018 Original Issue Amount - \$16,667,000				Bonds Issued October 20, 2020 Original Issue Amount - \$22,600,000		
Year Ending June 30,	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2024	2.93%	\$ 520,000	\$ 383,156	4.00%	\$ 370,000	\$ 716,450
2025	2.93%	1,720,000	350,340	4.00%	450,000	700,050
2026	2.93%	2,290,000	291,594	4.00%	450,000	682,050
2027	2.93%	2,430,000	222,446	4.00%	100,000	671,050
2028	2.93%	2,140,000	155,495	4.00%	-	669,050
2029-2033	2.93%	4,237,000	120,292	3.00%-4.00%	18,030,000	1,712,075
2034-2036		-	-	3.00%	1,500,000	67,500
Total		<u>\$ 13,337,000</u>	<u>\$ 1,523,323</u>		<u>\$ 20,900,000</u>	<u>\$ 5,218,225</u>

Bonds Issued July 8, 2021 Original Issue Amount - \$30,281,000				Total		
Year Ending June 30,	Interest Rate	Principal	Interest	Principal	Interest Net of Credit	Total
2024	1.14%	\$ 4,255,000	\$ 269,639	\$ 5,145,000	\$ 1,442,953	\$ 6,587,953
2025	1.14%	3,050,000	228,000	5,220,000	1,352,098	6,572,098
2026	1.14%	3,745,000	189,268	22,864,539	1,199,766	24,064,305
2027	1.14%	4,780,000	140,676	7,310,000	1,034,172	8,344,172
2028	1.14%	4,970,000	85,101	7,110,000	909,646	8,019,646
2029-2033	1.14%	4,980,000	28,386	27,247,000	1,860,753	29,107,753
2034-2036	1.14%	-	-	1,500,000	67,500	1,567,500
Total		<u>\$ 25,780,000</u>	<u>\$ 941,070</u>	<u>\$ 76,396,539</u>	<u>\$ 7,866,888</u>	<u>\$ 84,263,427</u>

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)

Revenue Bonds (Continued)

The District has pledged future statewide sales, services and use tax revenue to repay the \$69,548,000 of bonds issued in March 2018, October 2020, and July 2021. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition, construction, reconstruction, remodeling, and refurbishing certain District facilities, refunding certain District outstanding statewide sales, services and use tax revenue bonds and paying the costs of issuing the bonds. The bonds are payable solely from proceeds of the statewide sales, services, and use tax revenue received by the District. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest remaining to be paid on the bonds is \$67,699,618. For the current year, principal of \$6,016,000 and interest of \$1,461,181 was paid on the bonds.

The District has also pledged future statewide sales, services, and use tax revenue to repay the \$16,379,539 of qualified school construction bonds Series B (direct pay) issued in April 2011. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition and construction of a new elementary school. The bonds are payable solely from proceeds of the statewide sales, services and use tax revenue received by the District and mature July 1, 2025. The bonds have an interest rate of 5.85% but the District is entitled to a credit from the federal government at a rate of 5.4% (Build America Bonds). The District must remit interest net of any credits received to the bondholder semi-annually. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest net of credits remaining to be paid on the bonds is \$16,563,809. For the current year, no principal and interest net of credit of \$73,708 was paid on the bonds.

Annual principal and interest payments on all outstanding bonds are expected to require nearly 42% of the statewide sales, services, and use tax revenue. For the current year, total statewide sales, services, and use tax revenue was \$14,611,671.

The resolutions providing for the issuance of the statewide, sales, services, and use tax revenue (and refunding) bonds include the following provisions:

- a. The proceeds from the issuance of the bonds be used to pay off any remaining principal and interest due on the 2011 Series A bonds (2021 Series only).
- b. All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- c. Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- d. Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 6 – LONG-TERM LIABILITIES (CONTINUED)

Revenue Bonds (Continued)

The District complied with all of the revenue bond provisions during the year ended June 30, 2023.

The District did not exceed its legal debt margin as of June 30, 2023, as follows:

Total assessed valuation	\$ 4,508,329,430
Debt limit (5% of total assessed valuation)	225,416,472
Amount of debt applicable to debt limit (total bonded debt)	<u>(76,396,539)</u>
Excess of debt limit over bonded debt outstanding (legal debt margin)	<u>\$ 149,019,933</u>

NOTE 7 – PENSION AND RETIREMENT BENEFITS

A. Plan Description

IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple-employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at PO Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under *Iowa Code* Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

B. Pension Benefits

A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five- year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

B. Pension Benefits (Continued)

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

C. Disability and Death Benefits

A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

D. Contributions

Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to one percentage point. IPERS' Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2023, pursuant to the required rate, regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2023, were \$8,687,823.

**E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and
Deferred Inflows of Resources Related to Pensions**

As of June 30, 2023, the District reported a liability of \$40,543,966 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2022, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. As of June 30, 2022, the District's proportion was 1.021% which was a decrease of 0.005% from its proportion measured as of June 30, 2021.

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

**E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and
Deferred Inflows of Resources Related to Pensions (Continued)**

For the year ended June 30, 2023, the District recognized pension expense of (\$698,816). As of June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ 1,797,309	\$ 555,364
Changes of assumptions	34,402	967
Net difference between projected and actual earnings on IPERS investments	-	4,340,102
Changes in proportion and differences between District contributions and proportionate share of contributions	570,464	467,904
District contributions subsequent to the measurement date	<u>8,687,823</u>	<u>-</u>
Total	<u>\$ 11,089,998</u>	<u>\$ 5,364,337</u>

\$

8,687,823 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2024. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30,	
2024	\$ (3,613,061)
2025	(2,854,784)
2026	(5,359,961)
2027	8,778,149
2028	<u>87,495</u>
Total	<u>\$ (2,962,162)</u>

There were no nonemployer contributing entities to IPERS.

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

F. Actuarial Assumptions

The total pension liability in the June 30, 2022, actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.6% per annum.
Salary increases (effective June 30, 2017)	3.25% to 16.25%, average, including inflation. Rates vary by membership group.
Long-term Investment rate of return (effective June 30, 2017)	7.0% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.6% inflation assumption and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2022, valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021.

Mortality rates used in the 2022 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense, and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	22.0 %	3.57 %
International equity	17.5	4.79
Global smart beta equity	6.0	4.16
Core plus fixed income	20.0	1.66
Public credit	4.0	3.77
Cash	1.0	0.77
Private equity	13.0	7.57
Private real assets	8.5	3.55
Private credit	8.0	3.63
Total	<u>100.0 %</u>	

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 7 – PENSION AND RETIREMENT BENEFITS (CONTINUED)

G. Discount Rate

The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

H. Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate.

	1% Decrease in Discount Rate (6.00%)	Current Discount Rate (7.00%)	1% Increase in Discount Rate (8.00%)
District's proportionate share of the net pension liability	\$ 75,538,284	\$ 40,543,966	\$ 9,704,354

I. Pension Plan Fiduciary Net Position

Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

J. Payables to the Pension Plan

As of June 30, 2023, the District reported payables to the defined benefit pension plan of \$1,867,016 for legally required employer contributions and \$1,244,018 for legally required employee contributions withheld from employee wages but not yet remitted to IPERS.

NOTE 8 – CONTINGENT LIABILITY FOR SICK LEAVE TIME

District employees accumulate sick leave hours for subsequent use. These accumulations do not vest and therefore are not recognized as liabilities of the District until used by employees. The District's contingent liability for employee sick leave as of June 30, 2023, was approximately \$16,200,000.

NOTE 9 – RISK MANAGEMENT

The District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There were no significant reductions in insurance coverage from the prior year.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 10 – AREA EDUCATION AGENCY SUPPORT

The District is required by the *Code of Iowa* to budget for its share of special education support, media, and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$5,741,971 for the year ended June 30, 2023, and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

NOTE 11 – EARLY RETIREMENT PLAN

The District offers a voluntary early retirement plan to its administrative support staff and administrators. The application for early retirement is subject to approval by the Board of Education.

The District provides a one-time supplemental benefit payment for administrative support staff and administrators. The District offers the plan on an annual basis. To be eligible for the benefit, the administrative support staff or administrator must have attained age 55 by September 1, have completed 13 years of service with the District and have submitted application for retirement by March 31. In addition, for administrators to qualify, at least ten of the years of service must have been as an administrator. Benefits for administrators are computed as 40% of salary based on age at retirement and benefits for administration support are computed as 30% of salary based on age at retirement. The administrative support staff and administrators are also eligible to continue participation in the District's group health insurance program to age 65, as described in Note 13.

As of June 30, 2023, two employee requested early retirement under the fiscal year 2023 incentive. The District had no remaining obligation for this incentive as the one-time payment was made during the year.

Early retirement expenditures for the year ended June 30, 2023, totaled \$140,898.

The early retirement plan liability is liquidated by the Management Fund, a nonmajor governmental fund.

NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB)

A. Plan Description

The District provides a single-employer defined benefit health care plan to employee retirees and their spouses. The plan offers medical/prescription drug and dental coverage. Medical coverage is administered by Wellmark. The dental coverage is administered by Delta Dental. It is the District's policy to periodically review its coverage, and to obtain requests for proposals in order to provide the most favorable benefits and premiums for District employees and retirees. No assets are accumulated in a trust.

B. Benefit Provided

The District provides post employment retirement benefits to pay health, dental, and life insurance premiums for certain retired District personnel. Benefits are paid on behalf of retired administrative personnel to Medicare eligibility and other qualified staff to Medicare eligibility at which time benefits cease.

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

C. Members

As of June 30, 2022, the following were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	36
Active employees	<u>1,603</u>
Total	<u><u>1,639</u></u>

D. Contributions

Retirees under age 65 contribute to the health care plan at the same rate as District employees. This results in the retirees receiving an implicit rate subsidy. Contribution requirements are established by the District, based on the contract terms with Wellmark. The required contributions are based on projected pay-as-you-go financing requirements. For the year 2023, the District contributed \$433,126 to the plan.

E. Actuarial Assumptions

The total OPEB liability was determined by an actuarial valuation as of June 30, 2023, using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

Key Methods and Assumptions Used in Valuation of Total OPEB Liability

Discount rate	3.65%
Salary increases	3.50%
Inflation	2.50%
Healthcare cost trend increases	6.75% in 2023 grading down by 0.25% each year to an ultimate rate of 4.0%.
Mortality Assumption	Pub-2010 mortality table with generational SOA scale MP-2021.

The actuarial assumptions used in the June 30, 2023, valuation were based on the results of an actuarial experience study for the period July 1, 2021 through June 30, 2022.

The discount rate used to measure the total OPEB liability was 3.65% based on the 20-year municipal bond yield.

Changes in assumptions since the prior valuation are as follows.

- The discount rate was updated from 3.54% to 3.65%.
- The trend rates were reset to an initial rate of 6.75%, grading down by 0.25% per year until reaching the ultimate rate of 4.00% based on current Healthcare Analytics (HCA) Consulting trend study; current economic environment suggests a longer period until reaching the ultimate rate.

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

F. Total OPEB Liability

The District's total OPEB liability of \$13,146,363 was measured as of June 30, 2023, and was determined by an actuarial analysis as of that date.

	Total OPEB Liability (a)
Balances at July 1, 2022	<u>\$ 12,141,996</u>
Changes for the year	
Service cost	1,103,183
Interest	461,213
Assumption changes	(126,903)
Benefit payments	<u>(433,126)</u>
Net changes	<u>1,004,367</u>
Balances at June 30, 2023	<u><u>\$ 13,146,363</u></u>

G. OPEB Liability Sensitivity

The following presents the District's net OPEB liability calculated using the discount rate of 3.65% as well as the liability measured using 1% lower and 1% higher than the current discount rate.

	1% Decrease in Discount Rate (2.65%)	Current Discount Rate (3.65%)	1% Increase in Discount Rate (4.65%)
Net OPEB liability	\$ 14,356,000	\$ 13,146,363	\$ 12,041,000

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 12 – OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

G. OPEB Liability Sensitivity (Continued)

The following presents the net OPEB liability of the District, as well as what the District's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower and 1% higher than the current healthcare cost trend rates.

	1% Decrease (5.75% Decreasing to 3.0%)	Current (6.75% Decreasing to 4.0%)	1% Increase (7.75% Decreasing to 5.0%)
Net OPEB liability	\$ 11,434,000	\$ 13,146,363	\$ 15,215,000

H. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2023, the District recognized OPEB expense of \$1,472,266. At June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Changes of assumptions	\$ 262,005	\$ 1,669,296
Differences between expected and actual experience	561,367	538,671
Total	<u>\$ 823,372</u>	<u>\$ 2,207,967</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

Year Ending June 30,	Total
2024	\$ (92,130)
2025	(92,130)
2026	(92,130)
2027	(92,130)
2028	(92,130)
Thereafter	(923,945)
Total	<u>\$ (1,384,595)</u>

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 13 – CATEGORICAL FUNDING

In accordance with *Iowa Administrative Code* § 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund balance.

The District's restricted fund balance for categorical funding as of June 30, 2023, is comprised of the following programs:

Educator quality, professional development	\$ 964,438
Home school assistance	50,147
Teacher leadership	600,744
Textbook aid for nonpublic students	<u>25,600</u>
 Total	 <u><u>\$ 1,640,929</u></u>

NOTE 14 – COMMITMENTS

The District has entered into agreements with various companies for nursing and operation of the District's student transportation services. Terms of the agreements range from one to five years, and all agreements contain provisions for renewal.

The District has entered into various contracts for several projects which are primarily being funded by the statewide sales, services and use tax. The projects primarily include the construction of a new Waterloo Career Center and remodel of Central School. As of June 30, 2023, the remaining commitment on these contracts was \$5,048,507 and will be paid as work on the projects progress.

NOTE 15 – TAX ABATEMENTS

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenue that results from an agreement between one or more governments and an individual entity in which (a) one or more governments promise to forgo tax revenue to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Waterloo Community School District
Notes to Basic Financial Statements

NOTE 15 – TAX ABATEMENTS (CONTINUED)

Tax Abatements of Other Entities

Property tax revenue of the District were reduced by the following amounts for the year ended June 30, 2023, under agreements entered into by the following entities:

<u>Entity</u>	<u>Tax Abatement Program</u>	<u>Amount of Tax Abated</u>
City of Waterloo	Urban Renewal and Economic Development Projects	\$ 1,476,884

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2023, the District received \$735,924 in reimbursements.

NOTE 16 – DEFICIT BALANCE

The Capital Projects, Statewide Sales Services and Use Tax Fund had a deficit balance of \$328,974 at June 30, 2023. The deficit was the result of costs incurred prior to the availability of funds. The deficit will be eliminated through future sales tax collections.

REQUIRED SUPPLEMENTARY INFORMATION

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Waterloo Community School District
Schedule of Budgetary Comparison of Revenue,
Expenditures/Expenses and Changes in Balances
Budget to Actual - All Governmental Funds and Proprietary Fund
Year Ended June 30, 2023

	Budgeted Amounts	Actual		Variance with Final Budget - Over (Under)
	Original and Final	Governmental Funds	Proprietary Fund	
Revenues				
Local sources	\$ 45,627,425	\$ 44,182,107	\$ 178,640	\$ (1,266,678)
State sources	117,379,853	109,751,746	54,310	(7,573,797)
Federal sources	42,650,000	29,269,157	8,231,477	(5,149,366)
Total revenues	<u>205,657,278</u>	<u>183,203,010</u>	<u>8,464,427</u>	<u>(13,989,841)</u>
Expenditures				
Instruction	107,900,000	103,334,036	-	(4,565,964)
Support services	53,736,476	51,249,242	-	(2,487,234)
Noninstructional programs	9,900,000	920,751	7,389,857	(1,589,392)
Other expenditures	52,663,524	36,923,356	-	(15,740,168)
Total expenditures	<u>224,200,000</u>	<u>192,427,385</u>	<u>7,389,857</u>	<u>(24,382,758)</u>
Excess of revenues over (under) expenditures	(18,542,722)	(9,224,375)	1,074,570	10,392,917
Other Financing Sources (Uses) (Net)	<u>21,200,000</u>	<u>(37,166)</u>	<u>105,970</u>	<u>(21,131,196)</u>
Net change in fund balance	<u>\$ 2,657,278</u>	<u>\$ (9,261,541)</u>	<u>\$ 1,180,540</u>	<u>\$ (10,738,279)</u>
Fund Balance				
Beginning of year		<u>74,115,724</u>	<u>1,079,570</u>	
End of year		<u>\$ 64,854,183</u>	<u>\$ 2,260,110</u>	

Waterloo Community School District
Notes to the Required Supplementary Information-
Budgetary Reporting

This budgetary comparison is presented as required supplementary information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the *Code of Iowa*, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service, private-purpose trust, and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The *Code of Iowa* also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District did not amend the budget.

During the year ended June 30, 2023, expenditures did not exceed the District's budget.

**Waterloo Community School District
Schedule of District's Proportionate Share
of the Net Pension Liability
Iowa Public Employees' Retirement System
Last Ten Years**

Measurement Date	District's Proportion of the Net Pension Liability (Asset)	District's Proportionate Share of the Net Pension Liability (Asset)	District's Covered Payroll	District's Proportionate Share of the Net Pension Liability (Asset) as a Percentage of its Covered Payroll	Plan Fiduciary Net Position as a Percentage of the Total Pension Liability
2014	1.0759%	\$ 43,542,944	\$ 75,554,558	57.63%	87.6%
2015	1.0904%	53,871,608	74,825,218	72.00%	85.2%
2016	1.0419%	65,571,852	74,212,184	88.36%	81.8%
2017	0.9930%	66,143,267	74,119,194	89.24%	82.2%
2018	1.0010%	63,323,073	71,144,460	89.01%	83.6%
2019	1.0354%	60,359,576	79,327,638	76.09%	85.5%
2020	1.0364%	72,294,516	81,674,799	88.52%	82.9%
2021	1.0265%	1,439,020	83,310,328	1.73%	99.6%
2022	1.0215%	40,543,966	86,429,089	46.91%	91.4%

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

**Waterloo Community School District
Schedule of District Contributions
Iowa Public Employees' Retirement System
Last Ten Years**

Fiscal Year Ending June 30,	Statutorily Required Contribution	Contributions in Relation to the Statutorily Required Contributions	Contribution Deficiency (Excess)	District's Covered Payroll	Contributions as a Percentage of Covered Payroll
2014	\$ 6,747,022	\$ 6,747,022	\$ -	\$ 75,554,558	8.93%
2015	6,681,892	6,681,892	-	74,825,218	8.93%
2016	6,627,148	6,627,148	-	74,212,184	8.93%
2017	6,618,844	6,618,844	-	74,119,194	8.93%
2018	6,716,037	6,716,037	-	71,144,460	9.44%
2019	7,488,529	7,488,529	-	79,327,638	9.44%
2020	7,710,101	7,710,101	-	81,674,799	9.44%
2021	7,864,495	7,864,495	-	83,310,328	9.44%
2022	8,158,906	8,158,906	-	86,429,089	9.44%
2023	8,687,823	8,687,823	-	92,032,023	9.44%

Waterloo Community School District
Notes to the Required Supplementary Information-
Pension Liability

Changes of Benefit Terms

There are no significant changes in benefit terms.

Changes of Assumptions

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.0%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the unfunded actuarial liability (UAL) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

**Waterloo Community School District
Schedule of Changes in Total OPEB Liability,
Related Ratios and Notes**

	June 30, 2018	June 30, 2019	June 30, 2020	June 30, 2021
Total OPEB Liability				
Service cost	\$ 854,462	\$ 887,530	\$ 975,041	\$ 1,124,736
Interest	367,941	390,720	398,838	274,855
Differences between expected and actual experience	-	-	725,076	-
Changes of assumptions	(245,425)	344,486	(805,296)	54,141
Benefit payments	(350,303)	(492,265)	(329,710)	(473,960)
Net change in total OPEB liability	626,675	1,130,471	963,949	979,772
Beginning of year	8,828,046	9,454,721	10,585,192	11,549,141
End of year	<u>\$ 9,454,721</u>	<u>\$ 10,585,192</u>	<u>\$ 11,549,141</u>	<u>\$ 12,528,913</u>
Covered employee payroll	\$ 73,393,083	\$ 78,580,915	\$ 75,646,535	\$ 78,294,000
Total OPEB liability as a percentage of covered-employee payroll	12.88%	13.47%	15.27%	16.00%

Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Change in benefit terms

There were no significant changes in benefit terms.

Changes in assumptions

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Year Ended June 30,	Discount Rate
2023	3.65%
2022	3.54%
2021	2.16%
2020	2.21%
2019	3.50%
2018	3.87%
2017	3.58%

Additional changes in assumptions since the prior valuation are as follows:

- The trend rates were reset to an initial rate of 7.00%, grading down by 0.25% per year until reaching the ultimate rate of 4.00% based on current Healthcare Analytics (HCA) Consulting trend study; current economic environment suggests a longer period until reaching the ultimate rate.
- The mortality projection scale was updated from MP-2019 to MP-2021 to reflect the Society of Actuaries' recent mortality study.
- The married percent assumption was updated from 10% to 5% based on current retiree experience.

There are no assets accumulated in a trust.

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

<u>June 30, 2022</u>	<u>June 30, 2023</u>
\$ 1,158,180	\$ 1,103,183
292,102	461,213
(611,960)	-
(897,546)	(126,903)
(327,693)	(433,126)
<u>(386,917)</u>	<u>1,004,367</u>
<u>12,528,913</u>	<u>12,141,996</u>
<u>\$ 12,141,996</u>	<u>\$ 13,146,363</u>
\$ 78,162,556	\$ 80,507,000
15.53%	16.33%

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SUPPLEMENTARY INFORMATION

**Waterloo Community School District
Nonmajor Governmental Funds –
Description of Funds**

Special Revenue Funds

Special revenue funds are used to account for specific revenue that is legally restricted to expenditures for particular purposes.

Student Activity Fund – This fund accounts for the funds raised by student groups. Under state law, the Board retains responsibility for the Student Activity Fund's ultimate disposition.

Management Levy Fund – This fund accounts for the resources accumulated and payments made for property insurance, fidelity bonds, worker compensation, liability insurance premiums, unemployment insurance claims, and early retirement incentives.

Waterloo Community School District
Combining Balance Sheet -
Nonmajor Governmental Funds
June 30, 2023

	Special Revenue Funds		
	Student Activity (21)	Management Levy (22)	Total
Assets			
Cash and investments	\$ 1,307,122	\$ 1,052,417	\$ 2,359,539
Receivables			
Property tax - delinquent	-	25,511	25,511
Property tax - succeeding year	-	3,239,991	3,239,991
Accounts receivable	1,500	-	1,500
Due from other governmental units	-	166	166
Due from other funds	5,510	-	5,510
	<u>5,510</u>	<u>-</u>	<u>5,510</u>
Total assets	<u>\$ 1,314,132</u>	<u>\$ 4,318,085</u>	<u>\$ 5,632,217</u>
Liabilities			
Accounts payable	\$ -	\$ 20,000	\$ 20,000
Salaries and benefits payable	2,520	108,885	111,405
Due to other governmental units	-	1,575	1,575
Total liabilities	<u>2,520</u>	<u>130,460</u>	<u>132,980</u>
Deferred Inflows of Resources			
Unavailable revenue - succeeding year property tax	-	3,239,991	3,239,991
Fund Balances			
Restricted			
Management levy purposes	-	947,634	947,634
Student activities	1,311,612	-	1,311,612
Total fund balances	<u>1,311,612</u>	<u>947,634</u>	<u>2,259,246</u>
	<u>1,314,132</u>	<u>4,318,085</u>	<u>5,632,217</u>
Total liabilities, deferred inflows of resources, and fund balances	<u>\$ 1,314,132</u>	<u>\$ 4,318,085</u>	<u>\$ 5,632,217</u>

Waterloo Community School District
Combining Statement of Revenues, Expenditures,
and Changes in Fund Balances - Nonmajor Governmental Funds
Year Ended June 30, 2023

	Special Revenue Funds		
	Student Activity (21)	Management Levy (22)	Total
Revenues			
Revenue from local sources			
Local property taxes	\$ -	\$ 2,997,445	\$ 2,997,445
Other local and county revenues	1,269,253	-	1,269,253
Revenue from state sources	-	1,118	1,118
Total revenues	<u>1,269,253</u>	<u>2,998,563</u>	<u>4,267,816</u>
Expenditures			
Current			
Instruction			
Regular	-	1,446,280	1,446,280
Other	1,233,929	-	1,233,929
Support services			
Student	-	1,769	1,769
General administration	-	512,129	512,129
School administration	-	273,531	273,531
Business and central administration	-	31,731	31,731
Operation and maintenance of plant	-	915,421	915,421
Noninstructional programs	-	27,829	27,829
Total expenditures	<u>1,233,929</u>	<u>3,208,690</u>	<u>4,442,619</u>
Excess of revenues over (under) expenditures	35,324	(210,127)	(174,803)
Other Financing Uses			
Transfers out	<u>-</u>	<u>(20,591)</u>	<u>(20,591)</u>
Net change in fund balances	35,324	(230,718)	(195,394)
Fund Balances			
Beginning of year	<u>1,276,288</u>	<u>1,178,352</u>	<u>2,454,640</u>
End of year	<u>\$ 1,311,612</u>	<u>\$ 947,634</u>	<u>\$ 2,259,246</u>

Waterloo Community School District
Schedule of Changes in Student Activity
Special Revenue Fund
Year Ended June 30, 2023

Account	Balance - Beginning of Year	Revenue	Expenditures	Balance - End of Year
High Schools				
East	\$ 237,355	\$ 332,378	\$ 336,995	\$ 232,738
Expo	63,207	79,342	51,711	90,838
West	565,644	533,282	533,197	565,729
Middle Schools				
Bunger	17,308	17,741	20,048	15,001
Carver	14,362	25,415	17,355	22,422
Central	55,528	17,558	15,808	57,278
Hoover	24,199	39,442	40,762	22,879
Elementary Schools				
Cunningham	15,902	4,301	5,055	15,148
Elk Run Pre-K	6,667	-	57	6,610
Fred Becker	20,790	2,853	3,339	20,304
Highland	41,683	15,102	21,410	35,375
Irving	4,781	2,354	1,804	5,331
Kingsley	37,696	29,368	21,906	45,158
Kittrell	37,979	26,548	21,056	43,471
Lincoln	12,231	3,061	7,486	7,806
Lou Henry	59,343	22,802	18,692	63,453
Lowell	10,625	3,517	3,557	10,585
Orange	18,948	5,078	10,755	13,271
Poyner	13,083	17,576	16,886	13,773
Waterloo Career Center	15,058	38,894	30,098	23,854
Other	3,899	52,641	55,952	588
Total	<u>\$ 1,276,288</u>	<u>\$ 1,269,253</u>	<u>\$ 1,233,929</u>	<u>\$ 1,311,612</u>

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**Waterloo Community School District
Capital Projects Fund Accounts –
Description of Accounts**

Capital Projects Fund

The Capital Projects Fund is used to account for specific resources that are restricted to expenditures for capital outlays. The fund has two sets of accounts, as follows:

Statewide Sales, Services, and Use Tax – This set of accounts is used to account for all resources used in the acquisition and construction of capital facilities and the payment of fees related to the issuance of bonds.

Physical Plant and Equipment Levy – This set of accounts is used to account for resources accumulated and payments made for the purchase and improvement of grounds, purchase of buildings, major repairs, remodeling, reconstructing, improving, or expanding the schools or buildings, and for equipment purchases.

**Waterloo Community School District
Combining Balance Sheet -
Capital Projects Fund Accounts
June 30, 2023**

	Capital Projects		
	Statewide Sales, Services and Use Tax (33)	Physical Plant and Equipment Levy (36)	Total
Assets			
Cash and investments	\$ 856,650	\$ 3,566,888	\$ 4,423,538
Receivables			
Property tax - delinquent	-	29,787	29,787
Property tax - succeeding year	-	3,185,134	3,185,134
Due from other governmental units	1,471,613	157	1,471,770
Total assets	<u>\$ 2,328,263</u>	<u>\$ 6,781,966</u>	<u>\$ 9,110,229</u>
Liabilities			
Accounts and contracts payable	\$ 2,344,428	\$ 455,426	\$ 2,799,854
Due to other governmental units	-	60,158	60,158
Interfund payable	312,809	-	312,809
Total liabilities	<u>2,657,237</u>	<u>515,584</u>	<u>3,172,821</u>
Deferred Inflows of Resources			
Unavailable revenue - succeeding year property tax	-	3,185,134	3,185,134
Fund Balances			
Restricted			
Physical plant and equipment	-	3,081,248	3,081,248
Unassigned	(328,974)	-	(328,974)
Total fund balances	<u>(328,974)</u>	<u>3,081,248</u>	<u>2,752,274</u>
Total liabilities, deferred inflows of resources, and fund balances	<u>\$ 2,328,263</u>	<u>\$ 6,781,966</u>	<u>\$ 9,110,229</u>

Waterloo Community School District
Combining Schedule of Revenues, Expenditures,
and Changes in Fund Balances - Capital Projects Fund Accounts
Year Ended June 30, 2023

	Capital Projects		
	Statewide Sales, Services and Use Tax (33)	Physical Plant and Equipment Levy (36)	Total
Revenues			
Revenue from local sources			
Local property taxes	\$ -	\$ 3,206,762	\$ 3,206,762
Other local and county revenues	147,714	3,364	151,078
Revenue from state sources	14,611,671	1,059	14,612,730
Revenue from federal sources	859,287	-	859,287
Total revenues	<u>15,618,672</u>	<u>3,211,185</u>	<u>18,829,857</u>
Expenditures			
Current			
General administration	-	2,432	2,432
Operational and maintenance of plant	-	172,007	172,007
Facilities acquisition and construction	347,585	1,897,063	2,244,648
Capital Outlay	<u>14,595,905</u>	<u>2,884,829</u>	<u>17,480,734</u>
Total expenditures	<u>14,943,490</u>	<u>4,956,331</u>	<u>19,899,821</u>
Excess of revenues over (under) expenditures	675,182	(1,745,146)	(1,069,964)
Other Financing Sources (Uses)			
Transfers out	<u>(9,778,709)</u>	<u>(39,020)</u>	<u>(9,817,729)</u>
Net change in fund balances	(9,103,527)	(1,784,166)	(10,887,693)
Fund Balances			
Beginning of year	<u>8,774,553</u>	<u>4,865,414</u>	<u>13,639,967</u>
End of year	<u>\$ (328,974)</u>	<u>\$ 3,081,248</u>	<u>\$ 2,752,274</u>

Waterloo Community School District
Schedule of Revenue by Source, Expenditures by Function and Other
Financing Sources and Uses - All Governmental Fund Types
(Modified Accrual Basis)
Last Ten Years

	Fiscal Year			
	2014	2015	2016	2017
Revenue				
Local Tax	\$ 42,476,135	\$ 41,644,560	\$ 40,879,253	\$ 41,042,810
Other local sources	5,376,943	4,829,364	3,922,981	4,060,967
State sources	82,483,942	90,713,945	92,921,474	93,075,350
Federal sources	10,172,641	9,901,237	9,836,256	9,418,824
Total revenue	<u>140,509,661</u>	<u>147,089,106</u>	<u>147,559,964</u>	<u>147,597,951</u>
Expenditures				
Instruction				
Regular	57,440,376	60,697,165	58,993,633	55,353,953
Special	23,823,892	23,416,889	22,732,230	21,756,209
Vocational	184,768	169,788	202,779	400,383
Other	2,550,136	2,626,179	2,687,454	2,792,554
Support Services				
Student	3,934,386	4,468,458	4,788,157	4,415,783
Instructional staff	4,105,158	3,415,021	2,817,283	5,646,305
General administration	2,053,676	2,474,156	2,718,769	2,602,137
School administration	7,270,700	7,706,815	7,890,728	7,743,139
Business and central administration	4,208,250	4,017,360	4,534,563	3,827,775
Operation and maintenance of plant	10,999,450	10,914,335	11,138,260	11,167,991
Transportation	5,092,951	4,966,293	4,732,761	4,750,742
Noninstructional programs	56,164	41,051	762,335	810,060
AEA flowthrough	4,896,694	5,160,012	5,236,777	5,152,367
Facilities acquisition	8,016,091	5,916,295	1,736,111	3,284,407
Capital Outlay	-	-	-	-
Debt Service				
Principal	1,700,000	2,655,000	2,760,000	4,930,000
Interest and fiscal charges	3,498,428	3,536,466	3,462,108	3,769,285
Total expenditures	<u>139,831,120</u>	<u>142,181,283</u>	<u>137,193,948</u>	<u>138,403,090</u>
Revenue Over (Under) Expenditures	<u>678,541</u>	<u>4,907,823</u>	<u>10,366,016</u>	<u>9,194,861</u>
Other Financing Sources (Uses)				
Revenue bonds issued	-	5,060,000	-	-
Premium (discount) on sale of revenue bonds	-	-	-	-
Proceeds from sale of capital assets	-	-	17,400	43,045,000
Insurance recoveries	-	-	-	-
Refunding revenue bonds issued	-	-	-	-
Payment to refunding bonds escrow agent	-	-	-	-
Proceeds from long-term note receivable from sale of capital assets	-	-	-	(48,033,623)
Transfers in	7,391,787	7,171,023	7,322,260	9,610,102
Transfers out	(7,391,787)	(7,171,023)	(7,322,260)	(9,610,102)
Total other financing sources (uses)	<u>-</u>	<u>5,060,000</u>	<u>17,400</u>	<u>(4,988,623)</u>

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ 41,145,038	\$ 39,665,677	\$ 39,611,680	\$ 40,752,377	\$ 39,540,401	\$ 38,887,814
3,576,353	5,135,083	3,903,834	2,779,254	4,623,894	5,294,293
93,493,669	96,986,270	98,766,524	102,673,826	105,987,170	109,751,746
10,249,534	10,678,737	12,511,951	24,409,499	30,144,192	29,269,157
148,464,594	152,465,767	154,793,989	170,614,956	180,295,657	183,203,010
55,540,116	57,603,548	59,311,253	62,473,850	65,534,511	69,517,558
22,813,950	25,807,093	25,566,615	25,921,809	26,222,718	28,014,237
500,388	1,585,697	2,206,150	2,300,975	2,619,859	2,705,191
3,881,778	3,096,335	2,423,586	2,140,325	4,334,568	3,097,050
5,115,590	4,971,109	5,634,378	5,623,145	6,151,256	6,953,606
6,447,463	6,291,097	6,835,486	6,069,673	6,969,955	7,197,703
2,616,598	2,871,929	3,023,669	3,012,434	3,327,070	3,904,230
8,125,929	7,821,148	7,818,359	8,020,026	8,777,553	9,991,799
4,106,600	3,917,276	4,110,481	4,611,522	4,478,589	4,630,248
11,189,322	11,920,069	11,576,681	11,974,792	13,539,088	14,322,043
5,079,463	5,201,248	4,783,552	4,347,382	5,630,896	4,252,315
984,215	1,020,730	1,131,872	1,101,958	920,489	920,751
5,286,315	5,363,880	5,471,894	5,648,589	5,654,682	5,741,971
8,643,022	661,859	1,400,394	2,298,396	1,136,610	2,244,648
-	12,522,581	6,328,372	17,695,863	22,952,401	20,490,650
6,367,495	3,861,495	4,944,495	5,145,000	5,349,000	6,016,000
2,256,376	2,530,699	2,502,220	2,608,597	3,171,037	2,427,385
148,954,620	157,047,793	155,069,457	170,994,336	186,770,282	192,427,385
(490,026)	(4,582,026)	(275,468)	(379,380)	(6,474,625)	(9,224,375)
16,667,000	-	-	22,600,000	-	-
-	-	-	3,226,399	-	-
40,850	249,568	-	-	-	-
-	665,391	854,921	380,965	23,719	68,804
-	-	-	-	30,281,000	-
-	-	-	-	(31,018,000)	-
-	-	-	-	-	-
10,272,656	8,806,952	8,461,974	11,654,521	9,129,455	9,732,350
(10,333,863)	(8,806,952)	(8,766,362)	(11,654,521)	(9,336,467)	(9,838,320)
16,646,643	914,959	550,533	26,207,364	(920,293)	(37,166)

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STATISTICAL SECTION

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Waterloo Community School District Statistical Section

This part of Waterloo Community School District's Annual Comprehensive Financial Report (ACFR) presents detailed information as a context for understanding what the information in the basic financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

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These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time	96
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Revenue Capacity

These schedules contain information to help the reader assess the District's most significant local revenue sources, property tax and sales tax	108
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Debt Capacity

These schedules present information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future	114
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Demographic and Economic Information

These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place	121
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Operating Information

These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs	123
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Sources: Unless otherwise noted, the information in these schedules is derived from the ACFR for the relevant year

Waterloo Community School District
Net Position by Component
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year				
	2014	2015*	2016	2017	2018
Governmental activities					
Net investment in capital assets	\$ 109,082,308	\$ 105,208,898	\$ 103,139,326	\$ 99,742,300	\$ 104,277,255
Restricted	9,032,725	14,000,419	20,345,571	26,714,296	26,709,802
Unrestricted	<u>(2,366,988)</u>	<u>(47,591,693)</u>	<u>(41,694,422)</u>	<u>(36,044,713)</u>	<u>(39,397,460)</u>
Total governmental activities net position	<u>\$ 115,748,045</u>	<u>\$ 71,617,624</u>	<u>\$ 81,790,475</u>	<u>\$ 90,411,883</u>	<u>\$ 91,589,597</u>
Business-Type Activities					
Net investment in capital assets	\$ 1,078,456	\$ 918,703	\$ 824,219	\$ 698,528	\$ 632,686
Restricted	31	152	-	-	-
Unrestricted	<u>105,695</u>	<u>(1,214,262)</u>	<u>(824,219)</u>	<u>(698,528)</u>	<u>(865,763)</u>
Total business-type activities net position	<u>1,184,182</u>	<u>(295,407)</u>	<u>-</u>	<u>-</u>	<u>(233,077)</u>
Government-Wide					
Net investment in capital assets	\$ 110,160,764	\$ 106,127,601	\$ 103,963,545	\$ 100,440,828	\$ 104,909,941
Restricted	9,032,756	14,000,571	20,345,571	26,714,296	26,709,802
Unrestricted	<u>(2,261,293)</u>	<u>(48,805,955)</u>	<u>(42,518,641)</u>	<u>(36,743,241)</u>	<u>(40,263,223)</u>
Total District net position	<u>\$ 116,932,227</u>	<u>\$ 71,322,217</u>	<u>\$ 81,790,475</u>	<u>\$ 90,411,883</u>	<u>\$ 91,356,520</u>

*The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal year 2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

Fiscal Year				
2019	2020	2021	2022	2023
\$ 103,694,880	\$ 104,757,255	\$ 91,549,556	\$ 109,621,979	\$ 127,451,716
32,952,773	37,301,579	48,642,717	38,257,626	27,817,468
<u>(41,886,242)</u>	<u>(48,670,312)</u>	<u>(40,459,101)</u>	<u>(22,387,457)</u>	<u>(14,930,634)</u>
<u>\$ 94,761,411</u>	<u>\$ 93,388,522</u>	<u>\$ 99,733,172</u>	<u>\$ 125,492,148</u>	<u>\$ 140,338,550</u>
\$ 507,425	\$ 422,852	\$ 310,005	\$ 418,770	\$ 441,409
-	-	-	-	-
<u>(499,079)</u>	<u>(414,700)</u>	<u>(302,747)</u>	<u>660,800</u>	<u>1,818,701</u>
<u>8,346</u>	<u>8,152</u>	<u>7,258</u>	<u>1,079,570</u>	<u>2,260,110</u>
\$ 104,202,305	\$ 105,180,107	\$ 91,859,561	\$ 110,040,749	\$ 127,893,125
32,952,773	37,301,579	48,642,717	38,257,626	27,817,468
<u>(42,385,321)</u>	<u>(49,085,012)</u>	<u>(40,761,848)</u>	<u>(21,726,657)</u>	<u>(13,111,933)</u>
<u>\$ 94,769,757</u>	<u>\$ 93,396,674</u>	<u>\$ 99,740,430</u>	<u>\$ 126,571,718</u>	<u>\$ 142,598,660</u>

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2014	*2015	2016	2017
Expenses				
Governmental activities				
Instruction				
Regular	\$ 57,354,110	\$ 58,118,773	\$ 58,023,505	\$ 56,162,424
Special	28,675,255	27,665,186	27,631,219	27,193,436
Vocational	208,260	174,717	221,589	421,261
Other	2,615,186	2,645,925	2,729,963	2,864,641
Support Services				
Student	3,927,264	4,279,947	4,724,404	4,465,354
Instructional Staff	4,097,320	3,295,677	2,770,753	5,733,804
General administration	2,041,500	2,380,531	2,673,726	2,642,738
School administration	7,253,891	7,387,505	7,748,294	7,863,958
Business and central administration	4,294,240	3,995,183	4,442,125	3,922,815
Operations and maintenance of plant	12,782,787	12,712,732	12,167,758	13,627,848
Transportation	5,066,244	4,987,904	4,755,349	4,756,049
Facilities acquisition	-	-	-	-
Noninstructional programs	56,164	31,399	749,198	820,652
Debt service interest and fiscal changes	3,490,542	3,453,182	3,440,024	3,116,157
Depreciation (unallocated)	4,537,859	5,118,467	5,323,306	5,312,206
Total Governmental Activities Expenses	<u>136,400,622</u>	<u>136,247,128</u>	<u>137,401,213</u>	<u>138,903,343</u>
Business-Type Activities				
Nutrition services	<u>6,014,868</u>	<u>6,123,005</u>	<u>5,771,697</u>	<u>6,097,675</u>
Total Expenses	142,415,490	142,370,133	143,172,910	145,001,018
Program Revenue				
Governmental Activities				
Charges for Service				
Instruction	4,530,590	4,152,099	3,181,655	2,893,381
Support Services	499,644	240,312	261,520	297,151
Operating grants, contributions, and restricted interest	26,420,632	28,261,920	28,527,370	28,218,619
Capital grants, contributions, and restricted interest	<u>353,198</u>	<u>329,038</u>	<u>136,397</u>	<u>452,249</u>
Total Governmental Activities Program Revenue	<u>31,804,064</u>	<u>32,983,369</u>	<u>32,106,942</u>	<u>31,861,400</u>
Business-Type Activities				
Charges for Service				
Nutrition services	1,376,975	1,376,975	1,361,144	1,284,523
Operating grants, contributions, and restricted interest	<u>4,508,190</u>	<u>4,508,190</u>	<u>4,656,571</u>	<u>4,782,171</u>
Total Business-Type Activities Program Revenue	<u>5,885,165</u>	<u>5,885,165</u>	<u>6,017,715</u>	<u>6,066,694</u>
Total Program Revenue	<u>\$ 37,689,229</u>	<u>\$ 38,868,534</u>	<u>\$ 38,124,657</u>	<u>\$ 37,928,094</u>

*The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal year 2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ 56,666,299	\$ 59,612,267	\$ 62,905,756	\$ 65,936,444	\$ 59,969,021	\$ 65,974,520
28,527,564	31,376,216	31,845,373	32,290,424	29,551,990	32,155,780
489,433	1,573,936	2,410,587	2,412,620	2,547,577	3,100,717
3,944,883	3,149,518	2,717,331	2,242,126	4,228,406	3,102,479
5,198,703	5,008,484	5,785,395	5,748,313	5,742,427	6,659,600
6,591,096	6,354,431	7,100,530	6,267,665	6,307,843	6,728,295
2,668,037	2,894,456	3,137,286	3,104,695	3,044,721	3,719,436
8,299,220	7,894,732	8,119,212	8,271,876	7,957,527	9,389,427
4,197,584	3,869,671	4,340,347	5,106,183	5,907,237	6,424,407
12,777,962	12,941,774	12,148,512	12,566,010	12,863,085	14,173,948
5,084,870	5,206,719	4,789,500	4,353,077	5,633,453	4,252,778
-	1,145,942	1,875,116	6,260,881	2,761,786	1,296,499
995,563	1,032,969	1,172,254	1,112,247	819,613	855,619
2,676,973	2,862,886	2,737,335	3,348,297	2,787,907	2,476,791
5,332,834	5,384,911	5,529,090	5,704,913	5,655,060	6,085,381
143,451,021	150,308,912	156,613,624	164,725,771	155,777,653	166,395,677
6,397,986	6,154,195	6,027,419	5,681,056	7,011,695	7,389,857
149,849,007	156,463,107	162,641,043	170,406,827	162,789,348	173,785,534
2,373,293	2,551,779	1,842,046	1,445,476	4,382,073	3,900,934
287,085	908,200	908,933	527,535	292,590	220,357
29,499,730	31,307,678	33,521,342	32,091,282	31,447,756	30,230,211
104,422	89,319	7,207	150	1,000,000	-
32,264,530	34,856,976	36,279,528	34,064,443	37,122,419	34,351,502
1,294,810	718,531	147,905	58,038	67,998	108,274
4,800,811	5,666,206	5,536,063	5,619,626	7,801,562	8,285,787
6,095,621	6,384,737	5,683,968	5,677,664	7,869,560	8,394,061
\$ 38,360,151	\$ 41,241,713	\$ 41,963,496	\$ 39,742,107	\$ 44,991,979	\$ 42,745,563

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2014	*2015	2016	2017
Net (Expense) Revenue				
Governmental Activities	\$ (104,596,558)	\$ (103,263,759)	\$ (105,294,271)	\$ (107,041,943)
Business-Type Activities	(129,703)	(237,840)	246,018	(30,981)
Total Government-Wide Net Expense	<u>\$ (104,726,261)</u>	<u>\$ (103,501,599)</u>	<u>\$ (105,048,253)</u>	<u>\$ (107,072,924)</u>
General Revenue (Expense) and Transfers				
Governmental Activities				
Property tax	\$ 42,476,135	\$ 41,644,560	\$ 40,879,253	\$ 41,042,810
Unrestricted statewide sales, services, and use tax	9,414,543	10,423,134	10,636,953	10,404,246
Unrestricted state and federal grants	56,672,275	61,830,614	63,579,962	63,834,387
Unrestricted investment earnings	161,244	207,929	370,954	381,908
Other	-	-	-	-
Transfers	(236,365)	(4,940)	-	-
Total Governmental Activities General Revenue (Expense) and Transfers	<u>108,487,832</u>	<u>114,101,297</u>	<u>115,467,122</u>	<u>115,663,351</u>
Business-Type Activities				
Unrestricted investment earnings	359	476	410	1,150
Other	-	-	-	904
Transfers	236,365	4,940	-	-
Total Business-Type Activities General Revenue (Expense) and Transfers	<u>236,724</u>	<u>5,416</u>	<u>410</u>	<u>2,054</u>
Total Government-Wide General Revenue	<u>\$ 108,724,556</u>	<u>\$ 114,106,713</u>	<u>\$ 115,467,532</u>	<u>\$ 115,665,405</u>
Change in Net Position				
Governmental Activities	\$ 3,891,274	\$ 10,837,538	\$ 10,172,851	\$ 8,621,408
Business-Type Activities	107,021	(232,424)	246,428	(28,927)
Total	<u>\$ 3,998,295</u>	<u>\$ 10,605,114</u>	<u>\$ 10,419,279</u>	<u>\$ 8,592,481</u>

*The District recorded a prior period adjustment of (\$55,184,433) in fiscal year 2015 due to the implementation of GASB No. 68. The adjustment is not reflected in fiscal year 2014 on pages 92-94 due to its complexity. The District also recorded a prior period adjustment of (\$1,163,241) for health insurance cost adjustments.

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ (111,186,491)	\$ (115,451,936)	\$ (120,334,096)	\$ (130,661,328)	\$ (118,655,234)	\$ (132,044,175)
(302,365)	230,542	(343,451)	(3,392)	857,865	1,004,204
<u>\$ (111,488,856)</u>	<u>\$ (115,221,394)</u>	<u>\$ (120,677,547)</u>	<u>\$ (130,664,720)</u>	<u>\$ (117,797,369)</u>	<u>\$ (131,039,971)</u>
\$ 41,145,038	\$ 39,665,677	\$ 39,611,680	\$ 40,752,377	\$ 39,540,401	\$ 38,887,814
10,067,844	11,253,675	11,095,519	10,920,298	14,116,706	12,825,426
64,174,857	66,090,945	67,506,132	84,754,808	90,313,243	92,992,146
787,325	1,363,885	1,081,051	578,995	650,372	2,291,161
40,850	249,568	-	-	-	-
(61,207)	-	(333,175)	-	(207,012)	(105,970)
<u>116,154,707</u>	<u>118,623,750</u>	<u>118,961,207</u>	<u>137,006,478</u>	<u>144,413,710</u>	<u>146,890,577</u>
4,098	10,881	10,082	2,498	7,435	70,366
-	-	-	-	-	-
61,207	-	333,175	-	207,012	105,970
<u>65,305</u>	<u>10,881</u>	<u>343,257</u>	<u>2,498</u>	<u>214,447</u>	<u>176,336</u>
<u>\$ 116,220,012</u>	<u>\$ 118,634,631</u>	<u>\$ 119,304,464</u>	<u>\$ 137,008,976</u>	<u>\$ 144,628,157</u>	<u>\$ 147,066,913</u>
\$ 4,968,216	\$ 3,171,814	\$ (1,372,889)	\$ 6,345,150	\$ 25,758,476	\$ 14,846,402
(237,060)	241,423	(194)	(894)	1,072,312	1,180,540
<u>\$ 4,731,156</u>	<u>\$ 3,413,237</u>	<u>\$ (1,373,083)</u>	<u>\$ 6,344,256</u>	<u>\$ 26,830,788</u>	<u>\$ 16,026,942</u>

Waterloo Community School District
Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2014	2015	2016	2017
General Fund				
Nonspendable	\$ 266,418	\$ 314,835	\$ 214,094	\$ 203,354
Restricted	1,316,639	596,754	618,739	846,668
Assigned	3,363,588	2,854,732	1,230,992	1,230,992
Unassigned	140,498	4,774,487	9,406,541	16,613,297
	<u>\$ 5,087,143</u>	<u>\$ 8,540,808</u>	<u>\$ 11,470,366</u>	<u>\$ 18,894,311</u>
All Other Governmental Funds				
Debt Service Fund				
Restricted	\$ 14,059,941	\$ 15,164,372	\$ 16,537,007	\$ 12,636,227
Capital Projects Fund				
Nonspendable	215,000	-	-	-
Restricted	266,201	3,408,325	7,699,813	8,414,802
Unassigned	(2,901,370)	-	-	-
Special Revenue Funds				
Nonspendable	-	13,682	13,205	21,922
Restricted	1,633,652	2,328,344	2,991,415	2,950,781
	<u>\$ 13,273,424</u>	<u>\$ 20,914,723</u>	<u>\$ 27,241,440</u>	<u>\$ 24,023,732</u>
Total All Other Governmental Funds	<u>\$ 13,273,424</u>	<u>\$ 20,914,723</u>	<u>\$ 27,241,440</u>	<u>\$ 24,023,732</u>
Total All Governmental Funds	<u>\$ 18,360,567</u>	<u>\$ 29,455,531</u>	<u>\$ 38,711,806</u>	<u>\$ 42,918,043</u>

Note: GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, was implemented in fiscal year 2011.

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ 209,587	\$ 170,726	\$ 180,078	\$ 233,193	\$ 1,107,399	\$ 957,884
896,351	912,809	1,931,290	793,868	1,159,194	1,640,929
1,230,992	1,230,992	1,230,992	1,230,992	1,230,992	1,230,992
19,273,937	17,848,501	15,181,795	26,948,864	31,809,926	31,718,094
<u>\$ 21,610,867</u>	<u>\$ 20,163,028</u>	<u>\$ 18,524,155</u>	<u>\$ 29,206,917</u>	<u>\$ 35,307,511</u>	<u>\$ 35,547,899</u>
\$ 14,412,575	\$ 16,936,384	\$ 18,272,341	\$ 22,594,426	\$ 22,713,606	\$ 24,294,764
-	-	-	-	-	-
19,959,174	15,335,500	16,292,484	26,957,075	13,639,967	3,081,248
-	-	-	-	-	(328,974)
-	-	-	-	-	-
3,092,044	2,972,681	2,593,678	2,752,224	2,454,640	2,259,246
<u>\$ 37,463,793</u>	<u>\$ 35,244,565</u>	<u>\$ 37,158,503</u>	<u>\$ 52,303,725</u>	<u>\$ 38,808,213</u>	<u>\$ 29,306,284</u>
<u>\$ 59,074,660</u>	<u>\$ 55,407,593</u>	<u>\$ 55,682,658</u>	<u>\$ 81,510,642</u>	<u>\$ 74,115,724</u>	<u>\$ 64,854,183</u>

Waterloo Community School District
Changes in Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2014	2015	2016	2017
Revenue				
Local Tax	\$ 42,476,135	\$ 41,644,560	\$ 40,879,253	\$ 41,042,810
Other local sources	5,376,943	4,829,364	3,922,981	4,060,967
State sources	82,483,942	90,713,945	92,921,474	93,075,350
Federal sources	10,172,641	9,901,237	9,836,256	9,418,824
Total revenue	<u>140,509,661</u>	<u>147,089,106</u>	<u>147,559,964</u>	<u>147,597,951</u>
Expenditures				
Instruction				
Regular	57,440,376	60,121,044	58,993,633	55,353,953
Special	23,823,892	23,156,424	22,732,230	21,756,209
Vocational	184,768	169,756	202,779	400,383
Other	2,550,136	2,621,515	2,687,454	2,792,554
Support Services				
Student	3,934,386	4,431,229	4,788,157	4,415,783
Instructional staff	4,105,158	3,388,887	2,817,283	5,646,305
General administration	2,053,676	2,451,090	2,718,769	2,602,137
School administration	7,270,700	7,625,796	7,890,728	7,743,139
Business and central administration	4,208,250	3,985,863	4,534,563	3,827,775
Operation and maintenance of plant	10,999,450	10,837,204	11,138,260	11,167,991
Transportation	5,092,951	4,966,162	4,732,761	4,750,742
Noninstructional programs	56,164	31,399	762,335	810,060
AEA flowthrough	4,896,694	5,160,012	5,236,777	5,152,367
Facilities acquisition	8,016,091	5,916,295	1,736,111	3,284,407
Capital outlay	-	-	-	-
Debt Service				
Principal	1,700,000	2,655,000	2,760,000	4,930,000
Interest and fiscal charges	3,498,428	3,536,466	3,462,108	3,769,285
Total expenditures	<u>139,831,120</u>	<u>141,054,142</u>	<u>137,193,948</u>	<u>138,403,090</u>
Revenue over (under) expenditures	<u>678,541</u>	<u>6,034,964</u>	<u>10,366,016</u>	<u>9,194,861</u>
Other Financing Sources (Uses)				
Revenue bonds issued	-	5,060,000	-	43,045,000
Premium (discount) on sale of revenue bonds	-	-	-	-
Proceeds from sale of capital assets	-	-	17,400	-
Insurance recoveries	-	-	-	-
Payment to refunding bonds escrow agent	-	-	-	(48,033,623)
Transfers in	7,391,787	7,171,023	7,322,260	9,610,102
Transfers out	(7,391,787)	(7,171,023)	(7,322,260)	(9,610,102)
Total other financing sources (uses)	<u>-</u>	<u>5,060,000</u>	<u>17,400</u>	<u>(4,988,623)</u>
Net change in fund balances	<u>\$ 678,541</u>	<u>\$ 11,094,964</u>	<u>\$ 10,383,416</u>	<u>\$ 4,206,238</u>
Debt services as a percentage of noncapital expenditures	<u>3.89%</u>	<u>4.52%</u>	<u>4.57%</u>	<u>6.34%</u>

Fiscal Year					
2018	2019	2020	2021	2022	2023
\$ 41,145,038	\$ 39,665,677	\$ 39,611,680	\$ 40,752,377	\$ 39,540,401	\$ 38,887,814
3,576,353	5,135,083	3,903,834	2,779,254	4,623,894	5,294,293
93,493,669	96,986,270	98,766,524	102,673,826	105,987,170	109,751,746
10,249,534	10,678,737	12,511,951	24,409,499	30,144,192	29,269,157
148,464,594	152,465,767	154,793,989	170,614,956	180,295,657	183,203,010
55,540,116	57,603,548	59,311,253	62,473,850	65,534,511	69,517,558
22,813,950	25,807,093	25,566,615	25,921,809	26,222,718	28,014,237
500,388	1,585,697	2,206,150	2,300,975	2,619,859	2,705,191
3,881,778	3,096,335	2,423,586	2,140,325	4,334,568	3,097,050
5,115,590	4,971,109	5,634,378	5,623,145	6,151,256	6,953,606
6,447,463	6,291,097	6,835,486	6,069,673	6,969,955	7,197,703
2,616,598	2,871,929	3,023,669	3,012,434	3,350,049	3,904,230
8,125,929	7,821,148	7,818,359	8,020,026	8,843,898	9,991,799
4,106,600	3,917,276	4,110,481	4,611,522	4,478,589	4,630,248
11,189,322	11,920,069	11,576,681	11,974,792	13,449,764	14,322,043
5,079,463	5,201,248	4,783,552	4,347,382	5,630,896	4,252,315
984,215	1,020,730	1,131,872	1,101,958	920,489	920,751
5,286,315	5,363,880	5,471,894	5,648,589	5,654,682	5,741,971
8,643,022	1,145,942	1,400,394	2,298,396	1,136,610	2,244,648
-	12,038,498	6,328,372	17,695,863	22,952,401	20,490,650
6,367,495	3,861,495	4,944,495	5,145,000	6,349,000	6,016,000
2,256,376	2,530,699	2,502,220	2,608,597	3,171,037	2,427,385
148,954,620	157,047,793	155,069,457	170,994,336	187,770,282	192,427,385
(490,026)	(4,582,026)	(275,468)	(379,380)	(7,474,625)	(9,224,375)
16,667,000	-	-	22,600,000	30,281,000	-
-	-	-	3,226,399	-	-
40,850	249,568	-	-	-	-
-	665,391	854,921	380,965	23,719	68,804
-	-	-	-	(30,018,000)	-
10,272,656	8,806,952	8,461,974	11,654,521	9,129,455	9,732,350
(10,333,863)	(8,806,952)	(8,766,362)	(11,654,521)	(9,336,467)	(9,838,320)
16,646,643	914,959	550,533	26,207,364	79,707	(37,166)
\$ 16,156,617	\$ (3,667,067)	\$ 275,065	\$ 25,827,984	\$ (7,394,918)	\$ (9,261,541)
6.10%	4.35%	4.93%	5.03%	5.65%	4.85%

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Waterloo Community School District
General Fund - Other Local Revenue by Sources
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

Fiscal Year Ended June 30,	Rentals	Contributions	Investment Earnings	Other	Total
2014	\$ 44,065	\$ 2,241,178	\$ 72,959	\$ 587,411	\$ 2,945,613
2015	118,672	1,918,344	97,640	373,586	2,508,242
2016	114,095	622,991	83,636	224,583	1,045,305
2017	96,094	598,548	162,521	293,200	1,150,363
2018	74,926	371,131	433,257	202,592	1,081,906
2019	77,826	1,207,716	721,011	129,411	2,135,964
2020	52,490	964,166	538,135	77,637	1,632,428
2021	25,855	440,080	219,925	198,360	884,220
2022	48,424	1,196,424	291,333	234,603	1,770,784
2023	50,462	441,998	1,780,578	96,609	2,369,647

Source: District financial records

**Waterloo Community School District
Taxable Value and Assessed Value of Taxable Property
Last Ten Fiscal Years**

Excluding Tax Increment Financing (TIF) Property

Levy Year	Collection Year	Real Property		Utilities with Gas and Electric	
		Taxable Value	100% Assessed Value	Taxable Value	100% Assessed Value
2022	2023-24	\$ 2,681,006,220	\$ 4,508,329,430	\$ 89,685,373	\$ 280,203,309
2021	2022-23	2,752,764,376	4,497,585,942	90,942,731	221,209,026
2020	2021-22	2,699,444,623	4,262,817,544	82,927,339	197,789,137
2019	2020-21	2,980,745,977	4,577,698,946	86,082,965	190,923,087
2018	2019-20	2,979,211,235	4,505,458,805	89,352,252	181,312,936
2017	2018-19	2,578,452,678	4,579,032,151	91,523,089	173,916,620
2016	2017-18	2,596,980,650	4,094,291,800	92,872,695	172,719,002
2015	2016-17	2,485,821,894	3,980,722,291	132,928,647	202,116,070
2014	2015-16	2,443,853,918	3,897,583,672	137,562,883	192,279,984
2013	2014-15	2,466,387,287	3,896,489,703	140,057,849	174,702,214

**Source: Black Hawk County Auditor's Office*

Total		Ratio of Taxable Value to 100% Assessed Value	Total District Levy Rate
Taxable Value	100% Assessed Value		
\$ 2,765,393,920	\$ 4,788,532,739	57.8%	13.36032
2,843,707,107	4,718,794,968	63.2%	13.36209
2,782,371,962	4,460,606,681	65.3%	13.84769
3,066,828,942	4,768,622,033	67.0%	14.20694
3,068,563,487	4,686,771,741	68.1%	14.20694
2,669,975,767	4,752,948,771	58.3%	14.57188
2,689,853,345	4,267,010,802	65.7%	14.98155
2,618,750,541	4,182,838,361	65.8%	15.40000
2,581,416,801	4,089,863,656	66.2%	15.62432
2,606,445,136	4,071,191,917	66.9%	15.97526

Waterloo Community School District
Direct and Overlapping Property Tax Rates Per \$1,000 Assessed Valuation
Last Ten Fiscal Years

City	Levy Year	Collection Year	Overlapping Rates					District Direct Rates					Ratio of Waterloo Community School District to Total	
			State	Area VII Community College	Ag Extension	Assessor	Black Hawk County	City	General Fund	Management Levy Fund	PPEL Fund	Total District		
				Total										
Waterloo	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357	19.73019	11.18870	1.17162	1.00000	13.36032	40.18730	33.25%
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335	18.97159	11.30740	1.05496	1.00000	13.36236	39.49908	33.83%
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	18.63188	12.20076	0.64693	1.00000	13.84769	40.15223	34.49%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	17.45595	12.55248	0.65446	1.00000	14.20694	39.71936	35.77%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	17.54799	12.77376	0.43318	1.00000	14.20694	39.49347	35.97%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	17.45595	13.01008	0.56180	1.00000	14.57188	40.08430	36.35%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	7.58574	13.42390	0.55765	1.00000	14.98155	30.31731	49.42%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	17.60522	13.82721	0.57279	1.00000	15.40000	40.78414	37.76%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	17.76370	13.77207	0.85225	1.00000	15.62432	41.48607	37.66%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	17.95159	13.82427	1.15099	1.00000	15.97526	41.40455	38.58%
Cedar Falls	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357	11.4032	11.1887	1.17162	1.00000	13.36032	31.86031	41.93%
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335	11.51171	11.3074	1.05496	1.00000	13.36236	32.03920	41.71%
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	11.38273	12.20076	0.64693	1.00000	13.84769	32.90308	42.09%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	11.22169	12.55248	0.65446	1.00000	14.20694	33.48510	42.43%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	10.95250	12.77376	0.43318	1.00000	14.20694	32.89798	43.18%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	11.22169	13.01008	0.56180	1.00000	14.57188	33.85004	43.05%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	11.76884	13.42390	0.55765	1.00000	14.98155	34.50041	43.42%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	11.21967	13.82721	0.57279	1.00000	15.40000	34.39859	44.77%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	11.52796	13.77207	0.85225	1.00000	15.62432	35.25033	44.32%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	11.81029	13.82427	1.15099	1.00000	15.97526	35.26325	45.30%
Elk Run Heights	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357	10.21604	11.1887	1.17162	1.00000	13.36032	30.67315	43.56%
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335	9.11311	11.3074	1.05496	1.00000	13.36236	29.64060	45.08%
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	8.09999	12.20076	0.64693	1.00000	13.84769	29.62034	46.75%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	8.10000	12.55248	0.65446	1.00000	14.20694	30.36341	46.79%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	8.10000	12.77376	0.43318	1.00000	14.20694	30.04548	47.28%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	8.10000	13.01008	0.56180	1.00000	14.57188	30.72835	47.42%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	6.91757	13.42390	0.55765	1.00000	14.98155	29.64914	50.53%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	7.00001	13.82721	0.57279	1.00000	15.40000	30.17893	51.03%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	7.00000	13.77207	0.85225	1.00000	15.62432	30.72237	50.86%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.01470	13.82427	1.15099	1.00000	15.97526	29.46766	54.21%

Waterloo Community School District
Direct and Overlapping Property Tax Rates Per \$1,000 Assessed Valuation
Last Ten Fiscal Years

City	Levy Year	Collection Year	Overlapping Rates					District Direct Rates					Total	Ratio of Waterloo Community School District to Total
			State	Area VII Community College	Ag Extension	Assessor	Black Hawk County	City	General Fund	Management Levy Fund	PPEL Fund	Total District		
Evansdale	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357	7.97498	11.18887	1.17162	1.00000	13.36049	28.43226	46.99%
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335	7.97946	11.3074	1.05496	1.00000	13.36236	28.50695	46.87%
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	7.94876	12.20076	0.64693	1.00000	13.84769	29.46911	46.99%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	8.10000	12.55248	0.65446	1.00000	14.20694	30.36341	46.79%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	9.30626	12.77376	0.43318	1.00000	14.20694	31.25174	45.46%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	8.10000	13.01008	0.56180	1.00000	14.57188	30.72835	47.42%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	17.60000	13.42390	0.55765	1.00000	14.98155	40.33157	37.15%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	7.41756	13.82721	0.57279	1.00000	15.40000	30.59648	50.33%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	6.99152	13.77207	0.85225	1.00000	15.62432	30.71389	50.87%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.99152	13.82427	1.15099	1.00000	15.97526	30.44448	52.47%
Gilbertville	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357	13.38379	11.18887	1.17162	1.00000	13.36049	33.84107	39.48%
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335	13.61202	11.3074	1.05496	1.00000	13.36236	34.13951	39.14%
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	12.89986	12.20076	0.64693	1.00000	13.84769	34.42021	40.23%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	11.83251	12.55248	0.65446	1.00000	14.20694	34.09592	41.67%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	12.21391	12.77376	0.43318	1.00000	14.20694	34.15939	41.59%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	11.83251	13.01008	0.56180	1.00000	14.57188	34.46086	42.29%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	11.13476	13.42390	0.55765	1.00000	14.98155	33.86633	44.24%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	11.35181	13.82721	0.57279	1.00000	15.40000	34.53073	44.60%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	10.97368	13.77207	0.85225	1.00000	15.62432	34.69605	45.03%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	10.63264	13.82427	1.15099	1.00000	15.97526	34.08560	46.87%
Raymond	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357	6.91755	11.18887	1.17162	1.00000	13.36049	27.37483	48.81%
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335	6.91757	11.3074	1.05496	1.00000	13.36236	27.44506	48.69%
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391	6.91754	12.20076	0.64693	1.00000	13.84769	28.43789	48.69%
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303	6.91757	12.55248	0.65446	1.00000	14.20694	29.18098	48.69%
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363	6.97156	12.77376	0.43318	1.00000	14.20694	28.91704	49.13%
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303	6.91757	13.01008	0.56180	1.00000	14.57188	29.54592	49.32%
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507	8.10000	13.42390	0.55765	1.00000	14.98155	30.83157	48.59%
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577	6.98609	13.82721	0.57279	1.00000	15.40000	30.16501	51.05%
	2014	2015-16	0.00330	0.95088	0.09603	0.29967	6.74817	6.96247	13.77207	0.85225	1.00000	15.62432	30.68484	50.92%
	2013	2014-15	0.00330	0.95088	0.09646	0.30787	6.11919	6.96247	13.82427	1.15099	1.00000	15.97526	30.41543	52.52%

**Waterloo Community School District
Top Ten Property Taxpayers
Current Year and Nine Years Ago**

Taxpayers	Type of Business	FY 2023 Taxable Value	Percentage of 2023 Total Taxable Valuation*	Percentage of Total Taxable Value	FY 2014 Taxable Value	Percentage of 2014 Taxable Valuation	Percentage of Total Taxable Value
Deere & Company	Manufacturing	\$ 54,114,736	1.97%	20.08%	\$ 52,188,078	1.30%	18.13%
GLP Capital	Casino	48,901,171	1.78%	18.15%	64,833,320	1.61%	22.98%
Con Agra	Food processing	31,446,975	1.14%	11.67%	21,601,640	0.54%	7.26%
Northern Natural Gas Co.	Utilities	26,718,608	0.97%	9.91%	19,999,595	0.50%	7.23%
IBP, Inc.	Meat processing	22,447,243	0.82%	8.33%	16,921,524	0.42%	5.89%
Menard, Inc.	Retail	21,331,132	0.77%	7.92%	15,456,021	0.38%	5.48%
Feguson Enterprises, Ferguson Enterprises, Inc.	Manufacturing	18,583,878	0.68%	6.90%	20,707,670	0.51%	7.34%
VGM Management	Health Care	16,542,802	0.60%	6.14%	-	-	-
FDP WTC LLC	Developer	15,246,975	0.55%	5.66%			
Waterloo Cabinet Properties LLC	Manufacturing	14,146,220	0.51%	5.25%	17,557,550	0.44%	6.23%
G G & A Crossroads Center	Retail	-	-	-	35,727,920	0.89%	13.16%
CenturyLink	Communications	-	-	-	17,077,115	0.42%	6.30%
Totals		<u>\$ 269,479,740</u>	<u>9.79%</u>	<u>100.00%</u>	<u>\$ 282,070,433</u>	<u>7.01%</u>	<u>100.00%</u>

*2022 total net taxable valuation of \$2,699,444,623 (without gas and electric utility value) and excluding tax increment financing (TIF) property

Source: Black Hawk County Auditor's Office

**Waterloo Community School District
Property Tax Levies and Collections
Last Ten Fiscal Years**

Levy Years	Fiscal Year	Taxes Levied for the Fiscal Year	Collected within the Fiscal Year of the Levy		Collections in Subsequent Years	Total Collections to Date	
			Amount	Percentage of Levy		Amount	Percentage of Levy
2021	2022-23	\$ 38,927,425	\$ 38,927,425	100.00%	\$ -	\$ 38,927,425	100.00%
2020	2021-22	39,413,649	39,413,649	100.00%	-	39,413,649	100.00%
2019	2020-21	39,888,502	39,888,502	100.00%	-	39,496,191	99.02%
2018	2019-20	40,174,005	39,496,191	98.31%	-	39,496,191	98.31%
2017	2018-19	39,669,878	39,665,677	99.99%	-	39,665,677	99.99%
2016	2017-18	40,980,631	40,980,631	100.00%	-	40,980,631	100.00%
2015	2016-17	41,068,462	41,042,810	99.94%	-	41,042,810	99.94%
2014	2015-16	41,010,189	40,879,253	99.68%	-	40,879,253	99.68%
2013	2014-15	42,243,752	41,644,560	98.58%	-	41,644,560	98.58%
2012	2013-14	42,842,013	42,502,915	99.21%	-	42,502,915	99.21%

Source: Black Hawk County Auditor's Office

**Ratios of Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Year Ended June 30,	Governmental Activities Revenue Bonds and Unamortized Bond Premiums/Discounts	Personal Income*	Ratio of Outstanding Debt to Personal Income
2014	\$ 76,524,022	\$ 4,189,729,509	0.0183
2015	78,889,288	4,279,485,888	0.0184
2016	76,089,554	4,550,102,593	0.0167
2017	69,673,800	4,695,265,800	0.0148
2018	79,949,948	4,804,787,520	0.0166
2019	76,065,096	4,495,807,660	0.0169
2020	71,097,244	4,422,451,530	0.0161
2021	91,715,127	4,010,721,364	0.0229
2022	85,382,293	4,086,645,696	0.0209
2023	79,146,311	4,244,196,646	0.0186

* Personal income and population data can be found in the Schedule of Demographic and Economic Statistics.

Source: District financial records

Waterloo Community School District
Ratio of Net General Bonded
Debt Outstanding
Last Ten Fiscal Years
(Unaudited)

Years Ended June 30,	Governmental Activities Revenue Bonds	Percentage of Actual Assessed Value of Property	Total Debt Per Capita*
2014	\$ 76,109,539	1.91%	\$ 580
2015	78,514,539	2.02%	591
2016	75,754,539	1.94%	569
2017	69,539,539	1.75%	515
2018	79,842,539	3.07%	588
2019	75,984,539	2.95%	573
2020	71,043,539	2.38%	538
2021	88,498,539	2.97%	699
2022	82,412,539	3.05%	651
2023	79,146,311	2.88%	608

* Personal income and population data can be found in the Schedule of Demographic and Economic Statistics.

Source: District financial records

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Waterloo Community School District
Direct and Overlapping Governmental Activities Debt
As of June 30, 2023
(Unaudited)

Name of Governmental Unit	Total Gross Debt Outstanding (Including Known Unamortized Bond Premiums/ Discounts)	Percentage Applicable to Waterloo Community School District	Overlapping Debt*	Direct Debt	Total Direct and Overlapping Debt
Black Hawk County	\$ 11,646,380	49.10%	\$ 5,718,373	\$ -	\$ 5,718,373
City of Cedar Falls	17,968,000	2.52%	452,794	-	452,794
City of Evansdale	16,081,580	100.00%	16,081,580	-	16,081,580
City of Waterloo	112,413,067	97.21%	109,276,742	-	109,276,742
City of Gilbertville	2,286,000	100.00%	2,286,000	-	2,286,000
City of Elk Run Heights	4,076,830	100.00%	4,076,830	-	-
City of Raymond	4,853,055	100.00%	4,853,055	-	-
Hawkeye Community College	21,250,000	27.44%	5,831,000	-	5,831,000
Subtotal	<u>190,574,912</u>		<u>148,576,374</u>	<u>-</u>	<u>148,576,374</u>
Waterloo Community School District	79,146,311	100.00%	-	79,146,311	79,146,311
Total			<u>\$ 148,576,374</u>	<u>\$ 79,146,311</u>	<u>\$ 227,722,685</u>

Note: Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the government's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident and, therefore, responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value.

Source: Black Hawk County Auditor's Office and District financial records

**Waterloo Community School District
Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)**

	Fiscal Year			
	2014	2015	2016	2017
Total Assessed Valuation	<u>\$ 4,183,159,818</u>	<u>\$ 4,071,191,917</u>	<u>\$ 4,089,863,656</u>	<u>\$ 4,182,838,361</u>
Debt limit 5% of total assessed value	\$ 209,157,991	\$ 203,559,596	\$ 204,493,183	\$ 209,141,918
Amount of debt application to debt limit, total general obligation bonded debt	<u>76,109,539</u>	<u>78,514,539</u>	<u>75,754,539</u>	<u>69,539,539</u>
Excess of Debt Limit Over Bonded Debt Outstanding Legal Debit Margin	<u>\$ 133,048,452</u>	<u>\$ 125,045,057</u>	<u>\$ 128,738,644</u>	<u>\$ 139,602,379</u>
Amount of Debt Applicable to Debt Limit as a Percentage of Debt Limit	<u>36.39%</u>	<u>38.57%</u>	<u>37.05%</u>	<u>33.25%</u>

* Excludes tax increment financing (TIF) property.

Source: Black Hawk County Auditor's Office and District financial records

Fiscal Year					
2018	2019	2020	2021	2022	2023
<u>\$ 4,268,208,420</u>	<u>\$ 4,752,948,771</u>	<u>\$ 4,762,395,088</u>	<u>\$ 4,807,929,611</u>	<u>\$ 4,768,622,033</u>	<u>\$ 4,508,329,430</u>
\$ 213,410,421	\$ 237,647,439	\$ 238,119,754	\$ 240,396,481	\$ 238,431,102	\$ 225,416,472
<u>79,842,539</u>	<u>75,984,539</u>	<u>71,043,539</u>	<u>88,498,539</u>	<u>82,412,539</u>	<u>76,396,539</u>
<u>\$ 133,567,882</u>	<u>\$ 161,662,900</u>	<u>\$ 167,076,215</u>	<u>\$ 151,897,942</u>	<u>\$ 156,018,563</u>	<u>\$ 149,019,933</u>
<u>37.41%</u>	<u>31.97%</u>	<u>29.84%</u>	<u>36.81%</u>	<u>34.56%</u>	<u>33.89%</u>

**Waterloo Community School District
Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)**

Year Ended June 30,	Revenue	Local Options Sales Tax Revenue Bonds		
		Debt Service		Coverage
		Principal	Interest (Net of Credits)	
2014	\$ 9,395,943	\$ 1,700,000	\$ 2,672,117	2.15
2015	10,422,634	2,655,000	2,657,939	1.96
2016	10,622,853	2,760,000	2,567,822	1.99
2017	10,477,446	4,930,000	2,572,701	1.40
2018	10,092,844	6,364,000	1,375,813	1.30
2019	11,153,675	3,858,000	1,693,742	2.01
2020	11,170,519	4,941,000	1,605,513	1.71
2021	10,845,298	5,145,000	1,525,812	1.63
2022	12,830,461	7,459,000	1,999,270	1.36
2023	14,611,671	6,016,000	1,560,098	1.93

Source: District financial records

**Waterloo Community School District
Demographic and Economic Statistics
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Population*	Personal Income	Per Capita Personal Income	Unemployment Rate
2014	132,039	\$ 4,189,729,509	31,731	4.5%
2015	133,467	4,279,485,888	32,064	4.6%
2016	133,799	4,550,102,593	34,007	5.0%
2017	135,400	4,695,265,800	34,677	4.2%
2018	135,882	4,804,787,520	35,360	2.9%
2019	132,745	4,495,807,660	33,868	2.7%
2020	132,195	4,422,451,530	33,454	8.7%
2021	131,228	4,010,721,364	30,563	5.0%
2022	130,368	4,086,645,696	31,347	2.7%
2023	130,274	4,244,196,646	32,579	3.1%

* Population for Black Hawk County

Source: [Census.gov/quickfacts/blackhawkiowa](https://census.gov/quickfacts/blackhawkiowa)

**Waterloo Community School District
Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

Name	Product/Service	2023			2014		
		Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Deere & Company	Manufacturing	5,000	1	22.07%	6,000	1	28.35%
UnityPoint Health	Health care	3,162	2	13.96%	1,616	5	7.64%
Tyson Fresh Meats	Food processing	3,000	3	13.24%	2,889	3	13.65%
MercyOne fka Wheaton Franciscan	Health care	2,597	4	11.46%	3,059	2	14.45%
Waterloo Community School District	Education	1,900	5	8.39%	1,608	6	7.60%
Target Distribution	Distribution	1,800	6	7.94%	860	9	4.06%
University of Northern Iowa	Higher education	1,650	7	7.28%	1,738	4	8.21%
VGM Group	Business services	1,400	8	6.18%	-	-	-
Hy-Vee Food Stores	Grocery	1,256	9	5.54%	1,547	7	7.31%
Western Home Communities	Health care/Housing	891	10	3.93%	-	-	-
WalMart	Retail	-	-	-	1,047	8	4.95%
CBE Companies	Financial	-	-	-	800	10	3.78%
Total		<u>22,656</u>			<u>21,164</u>		

Source: Cedar Valley Community Fact Sheet, 2023/2024 Edition; data collected October, 2023

Waterloo Community School District
Full-Time Equivalent District Employees
Last Ten Fiscal Years
(Unaudited)

	Fiscal Years									
	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Administration										
Superintendent	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Assistant superintendent	2.0	2.0	2.0	2.0	2.0	1.0	1.0	1.0	1.0	1.0
Principals	18.0	18.0	18.0	18.0	18.0	18.0	18.0	18.0	18.0	18.0
Assistant principals	19.0	19.0	19.0	18.0	18.0	17.0	17.0	17.9	19.0	21.0
Other administrators	14.0	12.0	13.9	13.9	13.2	13.5	12.0	16.0	13.0	13.0
Total Administration	54.0	52.0	53.9	52.9	52.2	50.5	49.0	53.9	52.0	54.0
Instruction										
Teachers	850.9	867.6	833.0	837.0	830.0	840.1	836.0	840.0	819.4	832.6
Counselors	28.5	30.8	31.0	30.0	30.0	30.0	30.0	30.0	32.3	33.0
Librarians	11.0	9.0	10.0	12.0	12.0	13.0	13.0	14.0	15.0	15.0
Teacher leaders	10	12	25	20	20	20	20	25	43	43
Total Instruction	900.4	919.4	899.0	899.0	892.0	903.1	899.0	909.0	910.0	923.6
Other										
Clerical-Teacher Associates	410.7	412.5	384.6	344.7	356.0	400.0	443.0	406.6	412.3	414.7
Crafts/Trades	26.0	26.0	25.0	25.0	24.0	25.0	24.0	25.0	26.0	26.0
Other support	233.3	248.5	267.8	272.5	287.0	281.8	291.8	327.9	287.4	316.0
Total Support	670.0	687.0	677.4	642.2	667.0	706.8	758.8	759.5	725.7	756.7
Total*	1,624.4	1,658.4	1,630.3	1,594.1	1,611.2	1,660.4	1,706.8	1,722.4	1,687.7	1,734.3

* FTE (full-time equivalent)

Note: District FTE by function/program not available.

Source: District records

Waterloo Community School District
Full-Time Equivalent and Salary Information for District Instructional Staff
As of June 2023
(Unaudited)

Degree	BA		BA+15		BA+30	
	FTE	Salary	FTE	Salary	FTE	Salary
Step	1	- \$ 37,800	-	\$ 39,690	-	\$ 41,580
	2	- 39,312	-	41,202	-	43,092
	3	- 40,824	-	42,714	-	44,604
	4	- 42,336	-	44,226	-	46,116
	5	- 43,848	-	45,738	-	48,006
	6	- 45,360	-	47,628	-	49,896
	7	132.0 47,250	11.0	49,518	6.0	51,786
	8	50.0 49,140	12.0	51,408	4.0	53,676
	9	9.0 51,030	2.0	53,298	4.0	55,566
	10	3.0 52,920	2.0	55,188	-	57,456
	11	9.6 54,810	4.0	57,078	2.0	59,346
	12	14.0 55,944	7.0	58,968	4.0	61,236
	13	3.0 57,078	3.5	60,480	1.0	63,126
	14	9.0 57,456	2.0	60,858	3.0	63,882
	15	17.0 58,212	2.0	61,614	4.0	64,638
	16	3.0 58,590	2.0	61,992	3.0	65,016
	17	3.0 58,968	2.0	62,370	1.0	65,772
	18	4.0 59,346	-	62,748	3.0	66,528
	19	5.0 59,724	7.0	63,126	2.0	66,906
	20	5.0 60,102	2.0	63,504	1.0	67,662
	21	6.0 60,480	14.0	63,882	33.0	68,418
Total	272.6		72.5		71.0	
Total Full-Time Equivalents						

Degree	BA		BA+15		BA+30	
	FTE x Salary		FTE x Salary		FTE x Salary	
Step	1	\$ -	\$ -		\$ -	
	2	-	-		-	
	3	-	-		-	
	4	-	-		-	
	5	-	-		-	
	6	-	-		-	
	7	6,237,000	544,698		310,716	
	8	2,457,000	616,896		214,704	
	9	459,270	106,596		222,264	
	10	158,760	110,376		-	
	11	525,080	228,312		118,692	
	12	783,216	412,776		244,944	
	13	171,234	211,680		63,126	
	14	517,104	121,716		191,646	
	15	989,604	123,228		258,552	
	16	175,770	123,984		195,048	
	17	176,904	124,740		65,772	
	18	237,384	-		199,584	
	19	298,620	441,882		133,812	
	20	300,510	127,008		67,662	
	21	362,880	894,348		2,257,794	
Total	\$ 13,850,336		\$ 4,188,240		\$ 4,544,316	
Average Salary					\$ 62,214	

Source: District records

MA		MA+15		MA+30		MA+45	
FTE	Salary	FTE	Salary	FTE	Salary	FTE	Salary
-	\$ 43,470	-	\$ 45,360	-	\$ 47,250	-	\$ 49,140
-	44,982	-	46,872	-	49,140	-	51,030
-	46,494	-	48,762	-	51,030	-	52,920
-	48,384	-	50,652	-	52,920	-	54,810
-	50,274	-	52,542	-	54,810	-	56,700
-	52,164	-	54,432	-	56,700	-	58,590
15.0	54,054	1.0	56,322	1.0	58,590	2	60,480
22.0	55,944	2.0	58,212	3.0	60,480	-	62,370
11.0	57,834	1.0	60,102	-	62,370	3	64,260
12.0	59,724	2.0	61,992	2.0	64,260	2.0	66,150
9.0	61,614	-	63,882	1.0	66,150	3.0	68,040
6.0	63,504	6.0	65,772	1.0	68,040	-	69,930
15.0	65,394	9.0	67,662	2.0	69,930	4.0	71,820
13.0	66,528	2.0	68,796	2.0	71,064	6.0	73,710
12.0	67,284	1.0	69,930	4.0	72,576	7.0	75,600
5.0	68,040	1.0	71,064	3.0	73,710	6.0	76,734
5.0	68,796	1.0	72,198	1.0	75,222	5.0	77,868
9.0	69,552	3.0	73,332	3.0	76,356	5.0	79,380
11.0	70,308	-	74,088	1	77,490	7.0	80,514
4.0	71,064	1.0	75,222	1.0	78,624	4.0	81,648
31.0	71,820	31.0	76,356	21.0	79,758	53.0	82,782
<u>180.0</u>		<u>61.0</u>		<u>46.0</u>		<u>107.0</u>	
							<u>810.1</u>

MA		MA+15		MA+30		MA+45	
FTE x Salary		FTE x Salary		FTE x Salary		FTE x Salary	
\$	-	\$	-	\$	-	\$	-
	-		-		-		-
	-		-		-		-
	-		-		-		-
	-		-		-		-
	-		-		-		-
	-		-		-		-
	810,810		56,322		58,590		120,960
	1,230,768		116,424		181,440		-
	636,174		60,102		-		192,780
	716,688		123,984		128,520		132,300
	554,526		-		66,150		204,120
	381,024		394,632		68,040		-
	980,910		608,958		139,860		287,280
	864,864		137,592		142,128		442,260
	807,408		69,930		290,304		529,200
	340,200		71,064		221,130		460,404
	343,980		72,198		75,222		389,340
	625,968		219,996		229,068		396,900
	773,388		-		77,490		563,598
	284,256		75,222		78,624		326,592
	<u>2,226,420</u>		<u>2,367,036</u>		<u>1,674,918</u>		<u>4,387,446</u>
<u>\$ 11,577,384</u>		<u>\$ 4,373,460</u>		<u>\$ 3,431,484</u>		<u>\$ 8,433,180</u>	
		Total Salaries				<u>\$ 50,398,400</u>	

**Waterloo Community School District
Operating Statistics
Last Ten Fiscal Years
(Unaudited)**

Year	Operating Expenditures*	Daily Average Attendance	Resident Students	Operating Cost Per Resident Student	Pupil/Teacher Ratio		
					Elemen- tary	Middle	High School
2014	\$ 121,279,224	10,320	10,991	\$ 11,034	11.80	10.70	11.60
2015	124,662,148	10,359	11,134	11,197	12.20	10.50	11.90
2016	124,746,081	10,250	10,936	11,407	11.80	10.80	12.00
2017	122,046,437	10,135	10,835	11,264	12.10	11.20	12.10
2018	128,146,481	10,149	10,879	11,779	12.10	11.80	12.40
2019	135,476,165	10,101	10,777	12,571	12.90	12.60	13.90
2020	138,916,971	** -	10,865	12,786	10.64	12.41	13.14
2021	142,306,249	** -	10,633	13,383	11.34	12.58	15.08
2022	152,655,437	** -	10,681	14,292	13.34	14.58	17.08
2023	159,641,560	** -	10,672	14,959	12.11	13.76	15.36

* Includes only General Fund expenditures, including AEA flowthrough

** Attendance - COVID Affected

Note: This is the most recent information available for table presentation.

Source: District records

Waterloo Community School District
School Building Information
As of June 30, 2023
(Unaudited)

Name of School	Dates Constructed	Grades Served With Special Education	Building and Certified Enrollment Third Friday in September, 2022	Number of Classrooms
Preschool/Elementary Schools				
Elk Run/Freeburg	1952, 1954, 1956, 1962	Pre-K	504	37
Becker	2011, 2014	K-5	433	27
Cunningham	2002	K-5	339	29
Highland	2010	K-5	439	32
Irving	2003	K-5	401	30
Kingsley	1919, 1952, 1958, 2006	K-5	343	24
Kittrell	1950, 1955, 1960, 1962, 2009	K-5	528	33
Lincoln	2004	K-5	434	29
Lou Henry	2005	K-5	465	30
Lowell	1931, 2005, 2007, 2009, 2022	K-5	359	32
Orange	1915, 1951, 1954, 2014, 2015	K-5	465	31
Poyner	2007	K-5	334	49
			<u>5,044</u>	<u>383</u>
Middle Schools				
Bunger	1964, 2004, 2014	6-8	428	45
Carver	2009	6-8	441	36
Central	1972, 1980, 1991, 1994, 2006, 2008, 2017	6-8	470	67
Hoover	1967, 2004, 2008, 2014, 2015	6-8	880	54
			<u>2,219</u>	<u>202</u>
High Schools				
East	1916, 1939, 1954, 1955, 1956, 1962, 1975, 1986, 1988, 2002, 2004, 2009, 2013	9-12	1,008	74
West	1955, 1962, 1980, 2002, 2009	9-12	1,632	82
Alternative High School and Other Programs				
Expo	1952, 1961, 2000	6-12	774	47
Waterloo Career Center	2018, 2023		*	109
			<u>3,414</u>	<u>312</u>
Subtotal			10,677	897
Open enrollment/tuition in			(76)	-
Resident students attending outside the district			575	-
PreK numbers not on certificate enrollment			<u>(504)</u>	<u>-</u>
Totals			<u>10,672</u>	<u>897</u>
Other Facilities - Nonstudent Occupancy				
Educational Service Center	1964			
Maintenance, Transportation	1964, 1970, 1979			
Stadium	1994			
Bus Garage	2015			
Information Technology	2016			
Leased or Nonoccupied Facilities				
Castle Hill	1955, 1957, 1958			
Elk Run/Freeburg	1952, 1954, 1956, 1962			

* student and included in East & West numbers above

Waterloo Community School District
Building and Certified Resident Student Enrollment by Grade
Last Ten Fiscal Years
(Unaudited)

Grade	Fiscal Year									
	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Pre-K	504	72	71	105	115	113	136	140	145	89
Kindergarten	748	832	747	846	799	854	844	872	925	962
1	808	732	817	802	841	837	858	871	899	948
2	713	772	793	821	818	847	869	871	930	858
3	754	756	787	803	841	851	842	900	852	821
4	753	760	789	809	821	837	875	825	807	805
5	764	769	801	821	827	853	797	774	806	765
6	745	778	785	821	802	799	752	773	773	718
7	756	793	799	796	783	760	769	735	714	705
8	783	811	796	786	777	769	726	717	713	751
9	1,152	1,195	985	975	947	958	855	878	888	892
10	919	781	853	799	828	781	765	810	804	816
11	712	714	744	756	737	701	756	776	763	768
12	566	493	570	608	543	606	649	643	736	674
Special education	*	*	*	*	*	*	*	*	*	*
Subtotal	10,677	10,258	10,337	10,548	10,479	10,566	10,493	10,585	10,755	10,572
Open enrollment in	(76)	(50)	(40)	(32)	(41)	(40)	(42)	(46)	(49)	(58)
Open enrollment out	575	473	336	349	339	353	384	397	428	477
Pre-K	(504)	-	-	-	-	-	-	-	-	-
Totals	10,672	10,681	10,633	10,865	10,777	10,879	10,835	10,936	11,134	10,991

* The District has adopted an inclusionary philosophy regarding special education students so they are included in the appropriate grade.

Source: District records

Waterloo Community School District Miscellaneous Information

Waterloo Community School District includes the cities of Waterloo, Evansdale, Elk Run Heights, Gilbertville and Raymond, part of the City of Cedar Falls and certain unincorporated area in Black Hawk, County, including Mt. Vernon, Bennington, East Waterloo, Poyner, Cedar and Orange Townships, encompassing a total of 150 square miles. Black Hawk County is located in northeast Iowa and was named for the famous Native American leader Black Hawk (1767-1838), the principal figure in the Black Hawk War of 1832. The first permanent residents of Black Hawk County were the Sturgis and Adams families who settled here in 1845. In 1850, the population of Black Hawk County was 135; Cedar Falls was the largest town. Population increased in Waterloo and in 1855, the county seat was moved from Cedar Falls to Waterloo. By 1868, 23,000 acres of land were under cultivation in Black Hawk County. In 1990, the county was the fourth largest in the state, with a population of 123,798. The District operated 19 schools plus early childhood education buildings, an administration building, a maintenance building, warehouse and a bus garage. The following data provides the number of buildings per grade level:

	<u>22-23</u>	<u>21-22</u>	<u>20-21</u>	<u>19-20</u>	<u>18-19</u>	<u>17-18</u>	<u>16-17</u>	<u>15-16</u>	<u>14-15</u>	<u>13-14</u>
Elementary - K-5	11	11	11	11	11	11	11	11	11	11
Middle School - 6-8	4	4	4	4	4	4	4	4	4	4
High School - 9-12	3	3	3	3	3	3	3	3	3	3

The District contracts with Durham School Services to provide student transportation. Approximately 4,585 students are transported daily. On July 1, 2007, school meals were brought in-house serving approximately 1,510,000 meals for the year. Nursing services are provided by Unity Point Health. Driver education is contracted with Street Smarts and Hawkeye Community College.

The Board of Education meets on the second and fourth Mondays of each month during the school year and usually once a month in June and July.

The U.S. Census Bureau reports the population characteristics of Black Hawk County as follows:

Waterloo Community School District Miscellaneous Information

Waterloo Community School District Population Characteristics

	2000		2010		2020	
	Number	Percent	Number	Percent	Number	Percent
Total Population	128,012	100.00	131,090	100.00	130,368	100.00
Persons by Gender						
Male	61,458	48.01	63,710	48.60	64,402	48.60
Female	66,554	51.99	67,380	51.40	65,966	51.40
Persons by Race						
White	113,194	88.43	112,213	85.60	106,000	85.60
Black	10,179	7.95	11,667	8.90	12,500	8.90
Other	4,639	3.62	7,210	5.50	11,868	5.50
Persons by Age						
Under 10	15,941	12.45	16,281	12.43	15,973	12.43
10-19	19,401	15.16	17,689	13.49	17,795	13.49
20-29	22,140	17.29	24,354	18.58	21,985	18.58
30-39	15,527	12.13	14,919	11.38	16,622	11.38
40-49	18,421	14.39	15,065	11.49	13,754	11.49
50-59	13,730	10.73	17,579	13.41	13,496	13.41
60-69	9,241	7.22	12,022	9.17	15,065	9.17
70-79	8,242	6.44	7,264	5.54	10,610	5.54
80 and over	5,369	4.19	5,917	4.51	5,068	4.51
Median Age of Population	34.4		34.4		35.8	
Total Households	49,683		51,366		54,689	
Persons Per Household	2.45		2.36		2.30	
Median Household Effective Buying Income	\$33,088		\$42,753		\$54,774	
Work Force						
Waterloo/Cedar Falls, Iowa, labor force from Bureau of Labor Statistics, June, 2023; Data Tools/Customized Tables/Areas at a Glance and censusreporter.org for Black Hawk County.						
	Total Labor Force		116,335			
	Total Unemployment		3,606			
	Unemployment Rate		3.1%			

Waterloo Community School District Miscellaneous Information

Statistical Review

Location – accessible by U.S. Highways 20, 63 and 218, as well as State Highways 21, 57, 58 and 281. Interstate 380 links the area with Interstate 80, a major east-west corridor. The community is located on the “Avenue of the Saints,” an interstate that connects St. Paul, Minnesota, and St. Louis, Missouri.

Distance in highway miles from the Cedar Valley area:

Atlanta, Georgia	960	Denver, Colorado	790
Boston, Massachusetts	1,300	Kansas City, Missouri	295
Chicago, Illinois	265	Los Angeles, California	1,855
Cleveland, Ohio	650	Minneapolis, Minnesota	180
Dallas, Texas	845	St. Louis, Missouri	345

	<u>Spring</u>	<u>Summer</u>	<u>Fall</u>	<u>Winter</u>
Average Temperature	48.4	71.6	49.9	21.4
Average Rain (inches)	13.1	11.7	5.7	3.9
Average Snow (inches)	1.5	0	9	18.3

Transportation

Rail Service

Canadian National/Illinois Central and Pacific
Iowa Northern Railway
Union Pacific

Airport

Waterloo Regional Airport

Commercial Carriers

American Airlines

Business Services

Hotels and Motels

Rooms	2,163
Largest Banquet Capacity	2,000

Media

Newspapers	1 daily, 3 weekly
Radio Stations	13
Television Channels Received	7
Cable Television Providers	2

Telecommunications

Local Operating Companies	Mediacom/CenturyLink
Points of Presence (local)	MCI and AT&T
Local Internet Service Providers	31

Waterloo Community School District Miscellaneous Information

Statistical Review (Continued)

Recreation and Sporting Activities	Public Parks					40
	Dog Parks					3
	Municipal Golf Courses					10
	Disc Golf Courses					5
	Public Swimming Pools/Aquatic Centers					7
	Public Tennis Courts					30
	Softball/Baseball Diamonds					23
	Ice Skating/Hockey Arenas					1
	Campgrounds: Sites					12:560
	Public Boat Launches					15
	Soccer Complex: Fields (Outdoor)					5
	Soccer Fields (Indoor)					1
	Inclusive Park					1
	Theme Park (Outdoor)					1
	Water Parks (Outdoor)					2
Arts and Culture	Museums					15
	Public Libraries					7
	Visual Arts and Galleries					2
	Performing Arts Venues					8
	Youth Museums					2
	Symphony Orchestra					2
Household Income	Real Median Household Income - Waterloo/Cedar Falls				\$	54,774
Cost of Living Comparisons						Miscel- laneous
	Grocery	Housing	Utilities	Trans- portation	Health Care	Goods and Services
Chicago, IL	111	181	104	125	110	124
Madison, WI	107	123	123	108.0	124	125
Minneapolis, MN	101	110	109	109	104	120
Waterloo/Cedar Falls, IA	92.9	39.8	90.6	64.3	104.8	105.5

Sources: *worldpopulationreview.com*

Waterloo Community School District Miscellaneous Information

Community and Economic Development

The Iowa Northland Regional Council of Governments was formed in 1973 and is organized pursuant to Chapter 28E, State Code of Iowa. Their service area is a six-county area, including Black Hawk County. Their major functions are:

- To increase the coordination of programs between the local governments.
- To promote regional and metropolitan long-range planning.
- To provide a forum for the discussion of common interest, problems and concerns of the local governments.
- To provide mechanism for legally reviewing federal and state grant and aid programs for the cities and counties in the region.

Grow Cedar Valley provides leadership in Black Hawk County for creating jobs through expansion of existing businesses and industries, new business formation and relocation of companies. It is governed by a Board of Directors, representing a wide geographical representation.

In Fiscal Year 2023, Waterloo had the 5th highest construction total in it's history and the 2nd highest housing total.

Special Attractions/Activities

The National Park Service has designated a large part of the northeast Iowa, including the Cedar Valley area, as a national heritage park area. This designation is for the express purpose of telling the story of America's agricultural and industrial revolution, resulting in significant tourism. Silos and Smokestacks is a private nonprofit organization, funded by city, state and federal funds and private contributions. Existing agricultural sites (National Cattle Congress, Rath facility, farms, etc.) are also being using as tourist attractions.

The county boasts of 8,600 park acres in 190 parks including Black Hawk Park, Hickory Hills Park, McFarlane Park, Paw Park, Hartman Reserve Nature Center, George Wyth State Park, Sturgis Park, Sullivan Park and Cedar Valley Nature Trail. The Cedar Valley Nature Trail winds along the Cedar River bottomlands between Waterloo and Cedar Rapids and has 106 miles of hard-surfaced trails, 10 miles of water trails and emerging network of soft trails. The Cedar Valley Lakes and Trails project is a cooperative venture which resulted in the creation of an 800-acre "Chain of Lakes" along a ten-mile Cedar River corridor in the Waterloo/Cedar Falls area.

The area also features a variety of performing arts centers including the Oster Regent Theatre, Waterloo Community Playhouse, Black Hawk Children's Theatre, Strayer-Wood Theatre at the University of Northern Iowa, Waterloo/Cedar Falls Symphony Orchestra, the UNI School of Music, Lampost Theatre and Coffee Co., the RiverLoop Amphitheatre and Hawse Auditorium at Hawkeye Community College. The University of Northern Iowa is home to 115,000 square foot Gallagher-Bluedorn Performing Arts Center. The main auditorium can accommodate 1,680 concert goers, with each seat less than 100 feet from the stage and no more than 30 degrees off center.

Waterloo Community School District Miscellaneous Information

Community and Economic Development (Continued)

The Isle of Capri Casino and Hotel is a tropical paradise offering 950 slots, including more than 75 video poker machines, 27 table games, 3 restaurants, a feature bar, resort pool, spa and 600-seat entertainment venue. The hotel has 195 rooms and 27 suites.

The Phelps Youth Pavilion is a 39,000 square foot children's museum filled with creative, hands-on experiences for children of all ages.

Other Attractions

Antique Acres
Behrens-Rapp Visitor Information Station
Black Hawk Tennis Club
Bluedorn Science Imaginarium
Byrnes Park Tennis Center
Cedar Valley Arboretum and Botanic Gardens
Cedar Valley Soccer Complex
Cedar Valley Sportsplex
County Gentleman's Horse and Carriage Service, Inc.
Farmers Markets
Five Sullivan Brothers Convention Center
Full Court Sports Academy
George Wyth House
Get Air Waterloo
Grout Museum of History and Science
Hansen's Farm Fresh Dairy
Hawkeye Community College
Hearst Center for the Arts and Sculpture Garden
Ice House Museum
John Deere Operations
John Deere Tractor and Engine Museum
John Livingston Display
Little Red School House Museum

**Waterloo Community School District
Miscellaneous Information**

Community and Economic Development (Continued)

Other Attractions (Continued)

Lost Island Adventure Park
Mark's Park
Marshall Center One-Room School
McLeod Center
Metropolitan Chorale
National Wrestling Hall of Fame/Dan Gable Museum
Rensselaer Russell House Museum
River Front Stadium
RiverLoop Public Market Co-op
RiverLoop, Arts Malls and Mark's Park
Sullivan Brothers Iowa Veterans Museum
Sunrise Exchange Club Children's Petting Zoo
Tailgrass Prairie Center
The Falls Aquatic Center
UNI Botanical Center
UNI-Dome
UNI-Gallery of Art
UNI Wellness/Recreation Center
Victorian Home and Carriage House Museum
Viking Pump Museum
WaterHawks Ski Team
Waterloo Black Hawks Hockey Team
Waterloo Bucks Baseball Team
Waterloo Center for the Arts
Waterloo Municipal Band Concerts
Young Arena

**Waterloo Community School District
Miscellaneous Information**

Community and Economic Development (Continued)

Special Events

July	Accel Triathlon
	Mayor's Downtown Fireworks Festival
	Iowa Shrine Bowl All-Star Football Classic
	Iowa State Trap Shoot
	Waterloo Open Golf Tournament
	Cedar Falls Bible Conference
August	Stem and Stein
	Cedar Valley Pridefest
	Iowa Irish Fest
	Old Time Power Show
September	Artapalooza
	National Cattle Congress Fair
	Food Truck Festival
	Checker's Stone Soul Picnic
October	Strolling with the Spirits
	Trick or Treat
November	Festival of Trees
	Holiday Arts Festival
	Holiday Hoopla
	Iowa High School Football Playoffs
	Winter Wonder'loo
	Waterloo Lights the Night

**Waterloo Community School District
Miscellaneous Information**

Community and Economic Development (Continued)

Special Events (Continued)

December	Battle of Waterloo Wrestling Tournament Holiday Hoopla Continues Winter Wonder'loo Continues
January	Iowa Boat, RV, and Vacation Show Iowa Fat Bike Race & Iowa Games Snowshoe 5K & 10K
February	Ice Harvest Festival Hawkeye Farm Show
March	Eastern Iowa Sport Show First Regional Robotics Competition Funky Junk-A-Loo Maple Syrup Festival World's Greatest Spring Break for Kids
April	Iowa Eats & Drink Festival
May	4 th Street Cruise Girls Night Out Veteran's Memorial Day Parade
June	College Hill Arts Festival My Waterloo Days Festival Sturgis Falls Celebration/Cedar Basin Music Festival

Waterloo Community School District
Insurance Schedule
As of June 30, 2023
(Unaudited)

	Coverage	Deductible
School Package Policy, EMC Insurance Companies		
Building and contents, all locations	\$ 426,104,036	\$50,000/75,000
Errors and omissions liability	2,000,000	10,000
Workers' compensation	500,000	-
General liability (per occurrence)	2,000,000	-
Personal injury liability	2,000,000	-
Theft	20,000	1,000
Computer fraud (crime)	500,000	5,000
Umbrella liability (stand alone)	9,000,000	10,000
Umbrella liability (group excess)	10,000,000	-
Employee dishonesty	500,000	5,000
Contract maintenance	724,522	-
Cyber liability	3,000,000	25,000
Owned Automobile Policy, EMC Insurance Companies		
Liability (each accident)	2,000,000	-
Automobile medical payments (each person)	2,000	-
Uninsured motorists bodily injury (each person)	1,000,000	-
Underinsured motorists (each person)	1,000,000	-
Comprehensive	-	1,000
Collision	-	1,000
Garage keepers	50,000	500

Source: District records

**Waterloo Community School District
Waterloo, Iowa**

**Reports on Government Auditing
Standards and the Uniform Guidance – Single Audit**

June 30, 2023

**Waterloo Community School District
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**Waterloo Community School District
Schedule of Expenditures of Federal Awards
Year Ended June 30, 2023**

Federal Agency/Pass Through Agency/Program Title	Federal Assistance Listing Number	Expenditures
U.S. Department of Agriculture		
Through Iowa Department of Education		
Child nutrition cluster		
Commodities Programs (noncash assistance)	10.555	\$ 578,044
School Breakfast	10.553	1,637,315
Summer Food Service	10.559	163,322
Type A Lunch	10.555	5,293,947
COVID-19 Supply Chain Assistance	10.555C	415,599
Fresh Fruit and Vegetable Program	10.582	143,250
Total Child Nutrition Cluster and U.S. Department of Agriculture		<u>8,231,477</u>
U.S. Department of Treasury		
Through Iowa Department of Education		
COVID-19 Coronavirus State and Local Fiscal Recovery Fund	21.027	80,873
Federal Communications Commission		
Direct		
COVID 19 Emergency Connectivity Fund	32.009	175,663
U.S. Department of Education		
Through Area Education Agency 267		
Special education grants to states	84.027	603,460
Through Iowa Department of Education		
Title I Grants to Local Educational Agencies	84.010	4,530,686
Title I - Migrant Education	84.011	68,297
Career and Technical Education - Basic Grants to States	84.048	202,276
Rehabilitation Services - Vocational Rehabilitation Grants to States	84.126	217,094
21st Century Community Learning Centers	84.287	160,127
English Language Acquisition State Grants	84.365	168,145
Title IIA - Federal Teacher Quality Program	84.367	498,774
Student Support and Academic Enrichment Program (Title IV)	84.424	191,131
Educational Stabilization Fund		
COVID-19 Elementary and Secondary Schools Emergency Relief	84.425D	29,262
COVID-19 American Rescue Plan	84.425U	18,320,909
Total Education Stabilization Fund		<u>18,350,171</u>
Total through Iowa Department of Education		<u>24,386,701</u>
Total U.S. Department of Education		<u>24,990,161</u>
U.S. Department of Health and Human Services		
Through Tri-County Child and Family Development Council, Inc.		
Headstart	93.600	1,061,398
Total federal expenditures		<u>\$ 34,539,572</u>

See notes to schedule of expenditures of federal awards.

Waterloo Community School District
Notes to the Schedule of Expenditures of Federal Awards

NOTE 1 – BASIS OF PRESENTATION

The accompanying Schedule of Expenditures of Federal Awards (the "Schedule") includes the federal award activity of the District under programs of the federal government for the year ended June 30, 2023. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes of net assets, or cash flows of the District.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

NOTE 3 – PASS-THROUGH GRANT NUMBERS

All pass-through entities listed above use the same Assistance Listing numbers as the federal grantors to identify these grants and have not assigned any additional identifying numbers.

NOTE 4 – INVENTORY

Inventories of commodities donated by the U.S. Department of Agriculture are recorded at market value in the Food Service Fund as inventory. Revenue and expenditures are recorded when commodities are used.

NOTE 5 – INDIRECT COST RATE

The District did not elect to use the 10 percent de minimis indirect cost rate, as allowed under the Uniform Guidance.

**Report on Internal Control over Financial Reporting
and on Compliance and Other Matters Based on an Audit
of Basic Financial Statements Performed in Accordance
with *Government Auditing Standards***

Independent Auditor's Report

To the School Board
Waterloo Community School District
Waterloo, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the basic financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ending June 30, 2023, and the related notes to basic financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 22, 2023.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the basic financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the basic financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's basic financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. We did identify certain deficiencies in internal control, described in the accompanying schedule of findings and questioned costs that we consider to be a material weakness identified as Audit Finding 2023-001.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's basic financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the basic financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters that are described in part IV of the accompanying Schedule of Findings and Questioned Costs.

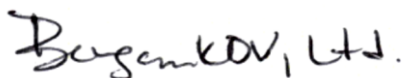
Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2023, are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Response to Finding

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the findings identified in our audit and described in the accompanying schedule of findings and questioned costs. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



St. Cloud, Minnesota
November 22, 2023

**Report on Compliance for Each Major Federal Program
and Report on Internal Control over Compliance Required by
the Uniform Guidance**

Independent Auditor's Report

To the School Board
Waterloo Community School District
Waterloo, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the compliance of Waterloo Community School District, Waterloo, Iowa with the types of compliance requirements identified as subject to audit *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2023. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Waterloo Community School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Report on Internal Control over Compliance (Continued)

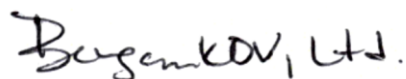
Our consideration of internal control over compliance was for the limited purpose described in Auditor's Responsibilities for the Audit of Compliance section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Report on Schedule of Expenditures of Federal Awards Required by the Uniform Guidance

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise District's basic financial statements. We issued our report thereon dated November 13, 2023, which contained unmodified opinions on those financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. The accompanying schedule of expenditures of federal awards is presented for purposes of additional analysis as required by the Uniform Guidance and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated in all material respects in relation to the basic financial statements as a whole.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



St. Cloud, Minnesota
November 22, 2023

**Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance**

SECTION I – SUMMARY OF AUDITOR'S RESULTS

Financial Statements

Type of auditor's report issued:	We issued an unmodified opinion on the fair presentation of the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP).
Internal control over financial reporting:	
• Material weakness(es) identified?	Yes, Audit Finding 2023-001
• Significant deficiency(ies) identified?	None reported
Noncompliance material to financial statements noted?	No

Federal Awards

Type of auditor's report issued on compliance for major programs:	Unmodified
Internal control over major programs:	
• Material weakness(es) identified?	No
• Significant deficiency(ies) identified?	None reported
Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516?	No

Identification of Major Programs

Assistance Listing No:	84.425
Name of Federal Program or Cluster:	Education Stabilization Fund
Assistance Listing No:	10.553/10.555/10.559/10.582
Name of Federal Program or Cluster:	Child Nutrition Cluster
Dollar threshold used to distinguish between type A and type B programs:	\$1,036,187
Auditee qualified as low risk auditee?	No

**Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance**

SECTION II – BASIC FINANCIAL STATEMENT FINDINGS

Criteria:

Internal control that supports the District's ability to initiate, record, process and report financial data requires adequate controls to ensure all required adjustments to the basic financial statements are properly recorded.

Condition:

During the course of our engagement, we proposed a material audit adjustment that would not have been identified as a result of the District's existing internal control system and, therefore, could have resulted in material misstatements of the District's basic financial statements.

In order to ensure basic financial statements were free from material misstatements, an audit adjustment was required to properly adjust retainage.

Context:

This finding impacts the internal control over financial reporting.

Effect or Potential Effect:

Internal controls that fail to identify necessary adjustments could result in material misstatements to the basic financial statements.

Cause:

There are a limited number of office employees to identify all necessary adjustments.

Recommendation:

Review District activity and ensure all necessary adjustments to financial data are recorded.

Responsible Official's Response:

CORRECTIVE ACTION PLAN (CAP):

1. Explanation of Disagreement with Audit Finding
There is no disagreement with the audit finding.
2. Actions Planned in Response to Finding
Administration will ensure that all material entries are recorded prior to the audit.
3. Official Responsible for Ensuring CAP
Jeff Sommerfeldt, Business Manager, is the official responsible for ensuring corrective action of the deficiency.
4. Planned Completion Date for CAP
The planned completion date for the CAP is June 30, 2024.
5. Plan to Monitor Completion of CAP
The School Board will be monitoring this CAP.

**Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance**

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None

SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING

IV-A-23 – Certified Budget

We noted no instances where the expenditures for the year ended June 30, 2023, exceeded the amended certified budget.

IV-B-23 – Questionable Expenditures

We noted no expenditures that may not meet the requirements of public purpose as defined in an Attorney General's Opinion dated April 25, 1979.

IV-C-23 – Travel Expense

No expenditures of District money for travel expenses of spouse of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-23 – Business Transactions

No business transactions between the District and District officials or employees were noted.

IV-E-23 – Restricted Donor Activity

No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the *Code of Iowa*.

IV-F-23 – Bond Coverage

Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure that coverage is adequate for current operations.

IV-G-23 – Board Minutes

No transactions were found that we believe should have been approved in the Board minutes but were not.

IV-H-23 – Certified Enrollment

Finding:

The following variances in the basic enrollment data certified to the Iowa Department of Education were noted:

- The District counted 2.5 students that were not enrolled.

**Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance**

**SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING
(CONTINUED)**

IV-H-23 – Certified Enrollment (Continued)

The error resulted in the District over-reporting by 2.5 students.

Auditor's Recommendation:

The District should review procedures to ensure accurate counts are taken throughout the year and accurate enrollment data is certified to the Iowa Department of Education.

District's Response and Corrective Action Plan:

The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above changes. The District will continue to monitor reconciliations of District information to information certified to the Iowa Department of Education.

Auditor's Conclusion:

Response accepted.

IV-I-23 – Supplementary Weighting

There were no variances noted in the supplementary weighting data certified to the Iowa Department of Education.

IV-J-23 – Deposits and Investments

No instances of noncompliance with the deposit and investment provisions of Chapter 12B and 12C of the *Code of Iowa* and the District's investment policy were noted.

IV-K-23 – Certified Annual Report

The Certified Annual Report was certified timely to the Iowa Department of Education.

IV-L-23 – Categorical Funding

No instances were found of categorical funding being used to supplant rather than supplement other funds.

IV-M-23 – Statewide Sales, Services, and Use Tax

No instances of noncompliance with the allowable use of the statewide sales, services, and use tax revenue provided in Chapter 423F.3 of the *Code of Iowa* were noted.

**Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance**

**SECTION IV – OTHER FINDINGS RELATED TO STATUTORY REPORTING
(CONTINUED)**

IV-M-23 – Statewide Sales, Services, and Use Tax (Continued)

Pursuant to Chapter 423F.5 of the *Code of Iowa*, the annual audit is required to include certain reporting elements related to the statewide sales, services and use tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2023, the District reported the following information regarding the statewide sales, services and use tax revenue in the District's CAR:

Beginning balance		\$ 8,774,553
Revenue		
Sales tax revenue	\$ 14,611,671	
Other local revenue	147,714	
Federal revenue	859,287	15,618,672
Expenditures/transfers out		
School infrastructure construction	14,595,905	
Other	347,585	
Transfer to other funds		
School nutrition fund	66,950	
Debt service fund	9,711,759	24,722,199
Ending balance		\$ (328,974)

For the year ended June 30, 2023, the District did not reduce any levies as a result of the moneys received under Chapter 423E or 423F of the *Code of Iowa*.

IV-N-23 – Deficit Balances

There were no student activity accounts with deficit balances at June 30, 2023.

IV-O-23 – Financial Condition

Finding:

The Capital Project, Statewide Sales, Services and Use Tax Fund had a deficit balance of \$328,974 at June 30, 2023.

Auditor's Recommendation:

The District should investigate alternatives to eliminate this deficit and return the Statewide Sales, Services and Use Tax Fund to a sound financial condition.

District's Response and Corrective Action Plan:

The Statewide Sales, Services and Use Tax Fund deficit will be repaid by future sales tax collections.

Auditor's Conclusion:

Response accepted.

**Waterloo Community School District
Schedule of Findings and Questioned Costs
in Accordance with the Uniform Guidance**

SECTION V – PRIOR YEAR FINDINGS AND QUESTIONED COSTS

None